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VAJIRAM AND RAVI

POLITICAL SCIENCE

OPTIONAL

INTERNATIONAL RELATIONS

PAPER-II

HANDWRITTEN

CLASS NOTES

2017

BY SUBHRA RANJAN

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Lecture 15
18/04/2017

India - USA Relations

→ Official Status:

(i) Strategic Partners.

(ii) Since, 2010 we are having institutionalised strategic dialogue which has been changed into Institutionalised strategic & commercial dialogue. The five pillars of strategic partnership are.

(a) Strategic issues.
(b) Energy & climate change
(c) Science & Technology
(d) Health & Innovation
(e) Education & developement.

How leaders of these countries explain the relation?

(i) Former PM Vajpayee called USA as India's natural ally
(ii) Former PM Manmohan Singh called USA as Natural Partner.
(iii) Present PM N. Modi calls USA as India's natural global partner.
(iv) Former US President Obama called India US partnership as the most defining partnership of 21st century.
(v) Former US Secretary of Defense Ashton Carter called India as USA's indispensible partner
(vi) Former US secretary of state Hilary Clinton held that USA is making 'strategic bet on India'
(vii) Present US President D. Trump so far has not made any such comment which can be called as Anti-India. Indian PM is the 5th world leader with 2 US President made a call & appreciated.

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(viii) US Secretary of defense James Mattis has held that defense relationship with India is a top priority of USA.

(ix) Pentagon official, Jeff Davis considered US relations with India as Pivotal.

→ Reconstructing strategic Partnership & to what extent it is appropriate to call USA as India's natural allie.

India & USA used to be known as 'Estranged democracies'. A phrase coined by Dennis Kux. Throughout cold War they were in opposite camps. Today they are not just engaged democracies but strategic Partners. India & USA has travelled a long distance from the state of relations which David Malone explain as 'Proverbial blind Man and Elephant trying to understand each other. India's foreign Policy thought and work was based on the basic framework of Non-alignment. India was never truly non-aligned. India's non-alignment was tilted towards Soviet Block. India's non-alignment became 'Anti-Americanism'. According to Harsh V. Pant, Reflexive Anti-Americanism was once the characteristic feature of policy makers in India.

According to Prof. Amitabh Mattoo, Anti-Americanism has become thing of the past. Today India is almost in a Quasi-alliance with USA. India US partnership is becoming deep. According to Prof. Harsh V. Pant, the changed scenario of the relationship is a result of combi-

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nation of factors, systemic, political & person. The systemic factor is end of Bipolarity & rise of china, Domestic factor is economic compulsions and the personal factor includes preference of certain individuals Eg. Vajpayee & Present PM Mod and US leaders like George Bush & Obama. There is a significant role of Indian American community which has become wealthiest, biggest & strongest American lobby. We cannot neglect the role of intellectuals like Ashley Tellis, the famous Indian American scholar who was instrumental in changing the approach of Bush Administration towards India which has resulted into 'de-hyphenation' Today, India & USA interact at large no. of platforms. USA has become the 2nd leading trading partner of India USA among the few countries with which we have positive/favourable Balance of Trade. India USA bilateral trade is more than 100 Bn $. USA is also one of the leading source of FDI in India. There is a convergence b/w USA's Asia rebalance & India's 'act East policy'. India & USA has started institutionalised Maritime dialogue. They are working together for the security on high Seas. India & USA are having regular military exercises like Malabar exercises, Yuddha Abhyas. India has also participated in RIMPAC exercises lead by US pacific command.

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India & USA airforces have also started exercises named 'Red flag' Today USA has emerged the leading supplier of defense equipment. Defence Trade Technology Initiative will take the relationship to the next level. Because India & USA will be going for transfer of technology, joint developement & production. Recently USA has given status of major defence partner to India by which India become eligible for the transfer of High Technology related to defence at par with closest allies of USA - USA has gone extra miles in Nuclear Aparthied against India. USA could get India specific waiver from NSG guidelines USA has been fundamental in getting India's entry in MTCR (Missile Techo. Control Regime) USA has been favouring India's Membership as a permanent member in UNSC. Considering above developements we can say that the relationship is passing through qualitatively improved phase. However, uncertainty have emerged because of the Trump administration. One of the major cause of concern is Trump Administrations policy of ~~By~~ Buy American & Hire American. which has unfortunately come at the time when India is developing its own manufacturing sector. It is to be ~~the~~ seen that the policy makers of two country will be able to establish

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synergy b/w America first & Make in India.

→ According to George Verghese, 'What America First means' published in the Hindu. There are two aspects of Trump Administrations foreign policy.

(i) Ideological - Anti-Islamic

(ii) Transactional - commercial

Though it seems that there is a ideological synergy b/w Trump Administration & the Govt. in New Delhi dominated by Hindu rightiest groups yet what will ultimately shape is the commercial aspect.

It is to be noted that there is a huge gap b/w India & USA on issues of investment. Intellectual Property Rights, Agriculture sector in WTO, & climate change

According to Lisa Curtis, setting rhetorics apart Indi US strategic partnership has been primarily transac tional rather than strategic in real sense. India is reluctant to become US ally. India would like to go for multiple alignment as expressed by the call for 'strategic Autonomy' by Indian policy makers. India does not have a security doctrine & hence India has less clarity w.r.t the strategic partnership with USA. India's strategic partnership with USA is more focused on getting defence equipments & technology.

According to former Embassador, Kanwal Sibal, apart from H1B visa of which India is biggest beneficiary, India is not the direct object of Trumps grievances.

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India may suffer from collateral damages of his disruptive thinking.

According to Rakesh Sood, We are living neither in the age of Hegemony nor in the age of Multi-polarity. India foreign policy needs less red lines & greater agility & pragmatism as we are living in the age of 'uncertainty'.

According to Manoj Joshi, India is the only country in Asia which can offset the gravitational pull of China. India need not to be overwhelmed by the rhetoric India needs to be firm on National Interest.

According to Nandan Unnikrishnan, India should adopt cautious optimism towards Q2. India should remember that no one is going to pull India's chest nuts out of fire for India. India has to burn its fingers.

As per Gerge Verghese, as of now India does not appear to be the highest priority of Trump Administration. Trump has broken many battle fronts domestically & internationally. onus will be on India either to catch or to maintain low profile. leaving strategic partnership on 'Autopilot Mode'.

Despite rhetorics India-US relations under Trump administration pass through the phase of uncertainty. It is not clear as to what will be the future of US China relations. To what extent Trump's counter terrorism

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~~ahead~~ will go. what will be the approach of Trump Administration towards Pakistan, multilateral issues & Global governance like Doha Talks & Paris Climate change.

It is to be noted that India is too big, too proud, to arguementative to play junior role in strategic partnership.

- Evolution of India-USA relations

① Before Independence

Though USA was an advocate of Right to self determination yet USA never pushed British to give Indians Independence. Pandit Nehru was pro-soviet & anti-american. Pandi Nehru has warned that American Imperialism is going to be worse than British Imperialism.

② After Independence-

→ Phase I - till 1960s

Phase of conflict & cooperation

Examples of conflict -

(i) USA did not support India in UNSC over Kashmir issue.

(ii) India became the 1st non-communist country to recognise communist china.

(iii) India did not support USA led resolution against North korea which also termed china as agressor.

(iv) India kept on insisting to give permanent seat to china in UNSC.

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→ Examples of co-operation—

(i) India approached USA in 1962 war USA agreed to send the help but by that time china had declared unilateral cease-fire.

(ii) In 1965 war with Pakistan USA had sospended economic & military aid to both the countries & did not soppoat Pakistan despite Pakistan was US ally.

(iii) USA helped India to overcome the crisis of food security. USA also helped India in Green Revolution.

During this phase India continued to maintain Anti-American Rhetoric. India kept on insisting on Non-alignment. India was extremely critical of US involvement in Vietnam war. Ultimately USA left India for more pragmatic countries (China & Pakistan). In south Asia developed US – Pakistan – china Axis.

→ Phase II – From 1970s to 1990s

phase of only conflict & no co-operation.

(i) India entered into treaty of Peace & friendship with USSR.

(ii) A new axis developed India – USSR – Vietnam.

(iii) Both USA and china had threatened India in 1971 war

(iv) USA has build apparthy against India after Pokhran I

Throughout the phase the focus of USA's south Asia policy was on nuclear non-proliferation. India was in opposite comp, Indian economy was closed economy. Hence, only consideration was nuclear proliferation.

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→ phase III → since the end of cold war

(i) In 1989, during Gulf War, India for the first time allowed refueling of US war plains, despite Iraq had close relations with India.

(ii) Disintegration of USSR not only impacted India's economy but also its strategic environment. India was forced to look West.

According to Ashley Tellis the current India-US strategic partnership is based on the background of the changing environment in Asia. USA came to support India in context of rising China to maintain the Balance of Power.

The opening of Indian economy was another very strong incentive for US engagement.

Despite economic & strategic imperative one of the major concern of Clinton Administration was to join India, NPT & CTBT.

India & US relations deteriorated after Pokhran II USA has again imposed sanctions.

→ Beginning of strategic partnership -

Strobe Talbott & Jaswantsingh talk (1998-2000)

US Deputy secretary of state & Indian Foreign Minister made 14 times in 2 year

Purpose -

to push india to surrender nuclear weapons & to join NPT & CTBT

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→ Outcome -
For the 1st time India & USA understood each other.
It led to the foundation of strategic partnership.

→ Achievement -
For the 1st time US took pro-India stand on kashmir in Kargil crisis; warned Pakistan to act with restrain & respect LOC.

- US President Bill Clinton's visit to India in 2000.
It led to the release of vision statement laying foundation of strategic partnership.

- Sept. 2001 (9/11) incidence
India was disappointed as USA made Pakistan the Front line state in Global War or Terrorism, Pakistan was given Military & Economic aid & status of major non-NATO ally.

- 2003 - India entered into strategic partnership with china.

- 2004 - Vajpayee's visit to USA.
It declared the successful completion of the first stage of strategic partnership & the launch of Next Steps in Strategic Partnership (NSSP).

- Components of Next Step -
(i) Civil Nuclear agreement.
(ii) Co-operation in High technology & space.
(iii) Broad based consultation on areas of mutual concerns.
(iv) Institutionalisation of dialogue.

- 2004 - Vajpayee called USA as India's ally.

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→ 2005 - 1,2,3 agreement during Manmohan Singh's visit where he describes USA as India's natural partner.

Significance -

so far no other achievement is as big as civil nuclear agreement. USA itself has constructed an apartheid against india went extra mile for India's integration for civil Nuclear commerce.

Relations since 2005

though there have been institutionalise dialogue under obama administration yet it appeared as if strategic Partnership has reached to a plateau. the disagreements b/w India & USA persisted on following matters:

(i) Doha Talks.
(ii) Climate change.
(iii) Bilateral Investment Treaty.
(iv) IPR issues.
(v) US policy in Afghanistan.
(vi) US failed to push pakistan for any action against those involved in Mumbai Terror Attack.
(vii) Civil Nuclear Issue.

→ Relations since Modi Government -

PM Modi has an explicite tilt towards USA. Modi govt. is taking steps to address US concerns. PM Modi visited USA 4 time in less than 2 ½ years. Modi will be visiting US again in 2017 on the invitation of US President.

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During PM Modi's first visit to USA modi & Obama released Joint statement 'Chalein Sath sath' (together coe go). Modi govt. has established working groops to address the differences over civil nuclear IPR & investment issues. Obama became first US president as a republic day goest. During Obama's visit to India Joint vision was released which explicitely mentioned Indo-US partnership in Asia Pacific against chinese attempts to disturb the rule of law. During obama's visit India & USA defense trade & technology initiative started USA & India later signed LEMOA. USA got India entry into MTCR. India has been given the Status of major defense partner.

Under Trump Administration.

(i) India's National Security adviser visited USA.

(ii) PM Modi will be visiting USA.

(iii) India's major concern can be Trump Administration's immigration policy.

→ Bilateral Issues -

(i) Civil Nuclear Agreement.

Civil Nuclear Agreement is not just a commercial agreement but having geo-political consequences. It integrates India in the Global nuclear non-proliferation regime even without India joining NPT-CTBT. It is also recognition of India as de-facto Nuclear weapon state. It recognised sound nuclear

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non-proliferation record of India. It recognises India as a country in Advanced Nuclear Technology. India has got exceptional treatment in Global Nuclear order than any other country. It also strengthens position of India in permanent seat. It will address India's Energy security. It allows India to take commitments of reducing carbon emission in Global climate change. It will help India to commercialise its third stage of nuclear programme using abundant Thorium.

What was the deal?

US did ensured full integration of India in global civil nuclear commerce.

What are India's obligations?

(i) Seperation of its civilian & military nuclear facilities.

(ii) Put civilian facilities under IAEA (International Automic Energy A)

(iii) Signed India specific safeguard agreement with IAEA

(iv) Signed & ratified convention on supplementary compensation.

(v) Bring legislation outlining the liabilities in case of Nuclear incidents.

(vi) India will continue moratorium on further testing.

(vii) India will act with USA for earliest conclusion for FMCT (Fissile Material Cut off Treaty).

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What are USA's obligations?

(i) Reform in domestic laws (HYDE Act)
(ii) US will get India specific waiver from NSG
(iii) US will get India's entry into NSG, MTCR, Australia group, wassenar group.
(iv) US will go for full civil nuclear agreement including transfer of technology which includes enrichment & re-processing technology.

Present status -

(i) All necessary steps have been implemented.
(ii) As a result of the treaty India has been able to enter into Civil Nuclear Agreement with large no. of countries.
(iii) However, not a single American nuclear reactor has touched Indian soil. Major benifit has gone to Russia and France.

Why? Reservations of USA against section 17 (B) and section 46 of India's civil liabilities in nuclear damages act. Modi Govt. has been able to address US concerns, westing house was expecting to deliver Nuclear Reactors for site in Andhra Pradesh. However, company has sort relief under bankrupcy laws. Modi govt. have also overcome another hurdle by entering into civil nuclear deal with Japan though India-Japan deal has not ratified by Japanese after US. companies are subsidiaries of Japanese co. & hence it was necessary that India should have deal with Japan.

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Lecture 16
19/04/2017

What are controvesial issues in India's civil nuclear liability Act?

(i) Section 4 - Suppliers liability
Which type of liability?
Strict and no fault liability.
No fault liability means supplier cannot give any excuse.
The only exception is in case of civil war or armed attack by hostile state.

(ii) Section 6- Total compensation.
Maximum amount is fixed ie: 300 million SDR
SDR- special Drawing Rights.
1 SDR = 87 ₹ ∴ ₹ 2610 crore
Maximum liability of operator is only ₹1500 crore (NPCIL)
Liability of Govt of India is 1100 ₹ crores.

(iii) section 17 - ~~Suppliers~~ operater's right to ~~be~~ recourse from supplier
After operator has failed the compensation, operator can seek the amount from supplier.

(iv) section 17 (A) - suppliers liability will apply only when it is explicitly mentioned in the contract.

(v) USA + objection section 17 (B)- Right to recourse even when it is not explicitly mentioned in the contract. - ~~supplier~~ operator can seek recourse in case of nuclear accident because of patent or latent defects in the material, equipments & even in the services provided. It includes the responsibility of supplier & his employee. USA has objection on Sec. 17 (B). According to USA it is not as per international norm. on the other hand according to India it is as per international norm set up by 'convention on supplementary compensation'.

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NPCIL — (operator)
Westing house (supplier)

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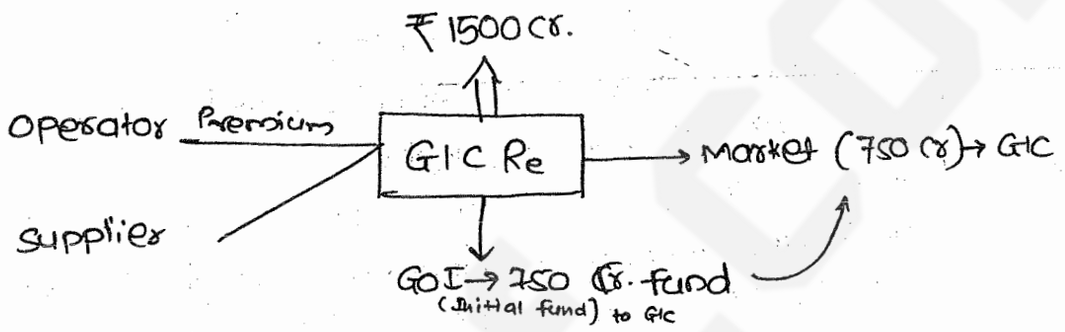
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(vi) section 17(C) - Right to Recourse in case damage is done by a particular act of an individual with an intention to cause damage.

→ Modi's solution :

(a) Modi Govt. clarified that even if we do not delete 17(B) it will not make a difference because no contract will be without explicitly mentioning the liability.

(b) Insurance Pool.



GIC is to provide insurance cover.
suppliers & operator will take premium. Govt will contribute initial fund of 750 cr. ₹. GIC will bring market instruments to raise the funds.

sec. 46 USA objection (vii) Section 46 - Above liability is not in exclusion of other liabilities. It means besides above liability there can be liabilities under criminal laws or any other law in force in India.
USA has more objections on section 46.

→ Modi Govt. Approach.
Modi govt. has communicated that section 46 does not apply to supplier.
what is the basis?
Govt. has given reference to the debate in parliament

Russia - modified about their nuclear related clauses in nuclear act. (Govt. owned) (USA-put.) to be replaced with clauses

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when member of Parliament proposed an amendment to explicitly mention the liability of supplier also. which was not passed (rejected).

However, it is SC that will decide that section 46 will apply to supplier or not.

→ Other areas of dispute.

(i) Investment Treaty

A Bilateral Investment Treaty (BIT) is due for long. In 2012 USA has brought new model investment Treaty. In 2015 India has brought New model Investment Treaty. There is a big gap b/w Indian Model & American Model.

what are the differences?

Indian Model is called as enterprise based whereas US Model is Asset Based.

As per Indian Model company should have substantial physical presence in India & should be employing substantial number of Indian workforce.

USA Model is Asset based which wants protection in investments in shares, derivatives. USA also wants to include protection for investment in Intellectual Property Rights.

(ii) Most Favoured Nation Status

Indian Model does not have MFN status. India wants to deal each country individually.

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(iii) National Treatment -

Domestic = Foreign equal treat

Indian Model does not have National Treatment.

(iv) USA wants protection from retrospective taxation in India

(v) Dispute settlement mechanism

USA prefers International Arbitration. their argument is Indian Judicial system is painfully slow. However the real reason is SC's verdict have not been in favour of foreign companies in general.

India prefers Domestic Remedies. International Arbitration only in the situation when all domestic remedies have been utilised.

→ Govt. of India has taken following steps:

(a) Amendment of arbitration & conciliation act.

(b) Establishment of Alternative dispute redressal mechanism under Ministry of Commerce.

(c) Govt is bringing bill on public contracts

(vi) Intellectual Property Rights:

India & USA have dispute on all aspects of IPR. ranging from Patents, copy Rights, Trademarks, Geographical indicators. The most controversial issue is section 3 and section 84 of the Indian Patents Act, 1970

It is said that India-US strategic partnership has been hijacked by pharmaceautical companies.

→ section 3- Evergreening of the patents*

Patents for new forms of existing medicines can be given only when it results into the increase in efficiency. For USA efficiency is a vague concept.

Patent-roy.

Patent - 20 yrs. companies make some changes & take patent right again for next 20 years - Evergreening of patents.

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→ Section 84 - compulsory licensing.

compulsory licensing for a patented medicine can be given after 3 years of patent in following conditions:

(a) In the interest of public health.

(b) If Medicine is overpriced.

(c) In case patented medicine is not worked in India. Means it has not been introduced on commercial scale

USA considers section 84 is detrimental to the interest of US companies, not only India manufactures generic drugs for domestic consumption but also exports outside.

Recently Bayer company has lost the legal battle against NATCO of Hydrabad. NATCO has manufactured SORANIFB generic replacement of NEXAVER. According to SC, company has already recovered the cost in the very 1st year. The cost of NEXAVER is ₹ ₹ 2,80,000 for one month. Whereas the cost of generic drug is ₹ 8,800.

(vii) Totalisation issue.

Indian professionals working for even short durations have to contribute to US Social Security Fund. However they do not get benefit of it. Presently the amount is $ 28 bn. India wants this funds to be channelised back into Indian Provident Fund system. USA has totalisation agreement with many countries but has not done such agreement with India so far.

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Recently Australia has concluded 'totalisation agreement' with India.

→ US Trade Representative office in its report of 2017 has mentioned that the policies of India are detrimental to the interest of US companies. It has recommended that US govt should push hard India to bring stricter IPR norms to end export subsidies in cotton & textile & has recommended to impose anti-dumping duties against India. India is consistently put in priority watch list. There are 3 categories of states under US laws w.r.t. the violation of IPR.

(i) Priority Foreign Country - worst violators
Eg. Venezuela.

(ii) Priority Watch country - 2nd worst
Eg. India, China

(iii) Watch list country.

Defence Partnership.

Brightest spot in the strategic partnership.

In 1995 India US Defence Framework Agreement was signed on the basis of Kick Lighter's Proposal. Since, then it has been reviewed after every 10 years. It has reviewed for after another 10 yrs in 2015.

Today India has become the 2nd largest destination for export of US defence equipments after Saudi Arabia.

USA has also emerged India's leading defence supplier. Bilateral trade has reached to the dimension of $18 bn.

Recognition, Modak, Neem — USA applied

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India has procured many hightec items including Apachee & chinook Helicopters, 10 C-17 Globe master cargo Aircrafts; 13 lock heed Martin C 130 Hercules aircraft & 12 P-8 Poseidon Aircrafts.

India has become USA's major defence partner. by which India will get access to even equipment like Drones, it will also get high technology including Technology of F16. India is treated at par with USA's closest ally like UK.

Defence, Trade & Technology Initiative (DTTI) makes India & us not just buyers & sellers but co-producers. They have started with path finder projects.

India & USA have instituted maritime security dialogue.

In Joins visions they openly mentioned co-operation in Asia Pacific.

India & USA have regular military exercises Malabar Yuddha Abhyas & Red Flag.

India has signed logistical Exchange Memorandum of Agreement (LEMOA) Agreement makes USA & India if not military allies at least logistic allies.

India & USA are developing inter-operability b/w armed forces. It is to be noted that one of the weakness of India-Russia defence partnership is lack of military Exercises which is the strength of India-US partnership.

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→ India has already signed 2 foundational agreements with USA.

(i) End User Monitoring Agreement (EUMA).

(ii) LEMOA

→ Agreements Pending :

CISMOA - Communication & Information Security Memorandum of Agreement

Once agreement is signed USA will provide India with encrypted communication equipments & systems so that India & US can communicate in secure networks in peace & war times. As of now India is reluctant considering USA's closeness with Pakistan.

Basic Exchange Co-operation Agreement (BECA) for geospatial intelligence. It will provide topographical & aeronautical data which will aid in navigation and targetting.

→ Geo Political Concerns:

(i) USA's relations with Pakistan.

(ii) USA's relations with China.

(iii) USA's position in Afghanistan.

(iv) USA's efforts in Global War on Terrorism.

(v) future of Middle East

(vi) Future of Asia Pacific.

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India - Russia Relations

→ views of PM Modi on the occasion of BRICS summit in Brazil ( )

Every child in India knows who has been India's best friend. Russia has helped India in tough times without expecting anything in return. Russia has been the pillar of India's developement & security. India Russia friendship is unmatched, reflect ~~mu~~ clear mutual confidence, trust & goodwill.

Goa Summit of BRICS.

PM Modi held that one old friend is better than two new friends.

According to PM Modi, friends listen what you say, best friends listen what you don't say. Best friends walks in when other friends walk out.

Russia's Foreign Policy concept. 2016.

It suggest that it is committed to further strengthening of its special priviledged partnership with Republic of India based on the convergence of foreign Policy Priorities, historical friendship & deep mutual trust. Russia has invited Mr. Modi as a guest of honour ' June 1st to June 3rd 2017' at St. Petersberg Economic Forum where India is the guest country.

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Views of former Foreign Embassador Kanwal Sibal.

Keeping strategic apart there is a definite decline in India Russia Relations. India cannot ignore Russia considering Russia as major power, permanent member of UNSC & Russia's support is critical on Kashmir. Russia under Putin is in the state of resurgency. Russian President is a Master Geo-strategist, a ruthless leader who had outstarted the west. India should be cautious against taking melo-dramatic views to persuade Russia.

Former diplomat KC Singh.

He suggest that India needs Deft Balancing. There is no need that India should appear opportunistic praising any world leader in the town.

Official Status of India-Russ

Russia is the 1st country with which India has established Strategic Partnership though it was initiative of Russian President Putin in the year 2000. In 2010 strategic Partnership was elevated to the status of special & privileged strategic partnership.

India has special & privileged partnership only with 3 countries ie. S. Korea, Japan & Russia.

India Russia also has institutionalise exchange at highest levels.

(i) Annual summits b/w Russian President & Indian PM.

(ii) Russian President & Indian PM also meet in multilateral forums annually at the platform of SCO, BRICS & East Asia Summit.

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There is a annual dialogue b/w foreign ministers under Russia India inter-governmental technical economic & cultural co-operation.

Annual dialogue b/w defence ministers under Russia-India inter-governmental military technical co-operation.

Actual state of Relations.

India Russia relations remained close but they have lost the intensity of Indo-Soviet relations

According to Kanwal sibal, the biggest problem in the relations is that actually there has been no serious problems. Relations have been essentially non-confrontationists. Hence, two countries have got complacent.

According to C. Raja Mohan. It is good that Russia is moving closer to Pakistan & china, atleast it will bring some realism to India. Atleast it will break inertia on the part of India, India will realise the necessity of improving the relations with Russia.

What are the problems in India Russia Relationship

(i) Lack of Realism on the part of India.
(ii) Geography is the ~~b~~biggest barrier.
Hence, India & Russia cannot have any direct energy trade without involving china or Pakistan.

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(iii) Geographically Russia is more dependent on China & Pakistan in terms of trade as well as security.

(iv) India Russia relations have remained govt. to govt. relations. There is very limited people to people contact whereas India US relations have a robust engagement at the level of civil society. In present times relations cannot be conducted only on single track.

(v) Generations have changed, new generation in both the countries do not have memory of cold war earlier years. It is more true in case of Russia.

(vi) Connectivity

~~In~~ Increase connectivity issue increases the cost of transportation. Once International North South Transport corridor will become fully operational trade can be increased b/w the two countries.

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Evolution of India Russia Relations:

India Russia relations are traced back to medieval time when Russian traveller Nikitin visited Mughal court. Merchants of Gujrat have established their base in Astra khan in Medieval times. Russia is the first country where Indology started. (Study of India). British empire in India & Russian Empire were engaged in 'Great Game' in central Asia. British India foreign policy in Afghanistan & towards china (Tibet) was in ontext of expansionist Russian empire. Communist revolution in Russia has inspired many Indian leaders. Lenin was supporter of India's freedom struggle.

Indo-Soviet Relations

→ Phase I - uptill 1953.

Russia was one of the first countries to recognise Indian independence in 1947 itself. to strengthen its image as Anti-imperialist. Stalin was extremely critical of Nehru's Policy of Non-alignment. He held that those who are not with us are against us. Stalin called Nehru as Bourgeoise Comprador (Supporter). After Nehru decided to join commonwealth.

→ Phase II - from 1953 to 1970.

khrushchev replaced Stalin. khrushchev became first soviet President to visit India.

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By this time Sino-Soviet rift started developing. USSR started looking at India as a balancer. India was also getting recognition as Afro-Asian leader of Third World. Nehru's Anti-Americanism was evident Khruschev's visit led to the beginning of long term co-operation b/w India & Soviet Union. Soviet Union helped India in establishment of basic industries, science & technology & establishment of defence industry.

During this phase Soviet Union was also toying to bring Pakistan to its side. Soviet Union gave military aid to Pakistan. Soviet Union intervened in Indo-Pak conflict as a mediator which resulted into Tashkand agreement in 1965. Tashkant agreement was not in India's favour. Despite military gains Indian forces have to comeback to the ceasefire line as per the agreement. After 1965 war china-Pakistan engagement started. china-Pakistan-USA axis started. Hence, Soviet Union & India had reasons to come closer.

→ Phase III - From 1971 to 1991 (Golden Period)

India entered into treaty of Peace & Friendship which was a quasi alliance. Treaty gave enough confidence to India to intervene militarily in East Pakistan (Bangladesh). Art. 9 of the treaty was

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Mutual security Guarantee. As per Art. 9 both parties had to inform as earliest about any friction they develope with any other country. They would take all necessary steps to remove the fear & to ensure security in the region.

During cold war another axis developed in South Asia. known as USSR- India- Vietnam Axis. There are some exceptional aspects of Indo soviet relations:

(i) Soviet union became the leading supplier of India's defence needs. It almost had monopoly.

(ii) Soviet union & India had arrangement of Barter trade & trade in local currencies which allowed them to conserve their hard currency.

(iii) Soviet union has transferred critical technology in defence & space.

(iv) Soviet union support on Kashmir in UNSC. remains consistent.

After cold War.

→ Phase I. (1991- 1993)

For a short duration India Russia relations deteriorated. Russia adopted Pro-West policy (Pro USA). Russia thought west will help russia in addressing its domestic crisis. Yelstin's foreign minister Kozyrev was pro-west. In order to appease west Yelstein govt. started pressurising India to sign NPT. It insisted that India should pay debt in Dollar. (Rupee- Rubble controversy).

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It also denied the transfer of cryogenic engines and Technology.

However very soon Russia realised the importance of India. In 1993 Yelstein visited India resolved above controversies & renegotiated the Treaty of Friendship. New Treaty does not have mutual security assurance clause. When Primakov became foreign Minister he proposed the idea of Russia India china Triangle against unilateralism of west. When Putin became President the transformed the relationship into strategic partnership. Russia & India are having special & priviledged strategic partnership.

- Areas of concerns.

→ Present state of Relations.

Present state of Relations is not as comfortable as it should be b/w the too old friends. There are concerns in different areas.

(1) Defence.

Russia once had monopoly but gradually its monopoly is declining. For Russia's resurgence its defence & energy exports are very important. USA had strike on Russia's energy trade with EU. USA wants to strike at Russia's Military. Industrial complex. In recent years India-USA bilateral trade in Defence has reached to around $ 18 bn. India is the

Strategic – operate – coord → lead etc. →
↳ long term vision (must only operationalise).
- India foreign Policy - Non-alignment - but strategic problems → hired
troops govt of union. — India is not comfortable with alignment therefore
India calls it as Strategic Partner.

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second leading destination after Saudi Arabia.
According to Russia, defence deals in India are not transparent. US companies loose the tender in fair contract. It also impacts image of Russia as a provider of World class equipments. From the perspective of Russia, Russia provides unconditional transfer of Technology. Still India is going for USA, Israel. and other Western countries. Indian grievances against Russia:

(i) cost escillations:
(ii) Delayed delivery.
(iii) Poor servicing.
(iv) Russia is not able to supply even spare parts.

In erecent times new grievances are added.

(i) Russia has ended self imposed moratorium on selling offensive weapons to china. Recently, Russia has sold Sukhoi 35 & Amur class sub marines to china. Russia & china are also entering into co-production of defence equipments. Russia has not imposedany restriction on the export of armaments from china.

(ii) Recently Russia has also provided 4 MI 35 attack helicopters to Pakistan to help pakistan ~~fight~~ fight against terrorism.

Despite above concerns India Russia defence partnership remains one of the strongest pillar of the strategic partnership.

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1977 India and Russia entered into an agreement with 3 features.

(i) Export of equipments.
(ii) Transfer of Technology.
(iii) Joint developement Marketing & sell.

some of the high end defence equipments where India & Russia are not just buyer & sellers but co-producers which includes:

(i) Different versions of Brahmos - supersonic cruise missile.
(ii) 5th generation Aircraft
(iii) T-90 Tank.
(iv) Kamov helicopters which can fly upto the height of 2000 ft. significant for surveillance of siachin.

(v) India has acquired following hardcores from Russia-

(i) INS Vikramaditya
(ii) Akula II (INS chakra) → on lease currently.
(iii) Triumf S-400 Air Defence System- so far most advanced long range missile defence system which gives layered defence.
(iv) Krivak - Talwar class stealth frigates
(v) Illyushin 2 Aircraft.

one of the weakest aspect of India Russia defence co-operation is very limited military to military exchanges which is strongest part of India US defence partnership.

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There is a cause of concern as Russia has entered into comprehensive military agreement with Pakistan. Features of agreement are not in public. According to Govt of Pakistan it has practicle focus. In 2016, Russian Military conducted Exercises with Pakistan. Again military exercise is due in 2017.

- India Russia Energy Partnership.

Russia has world's largest Natural Gas reserves, 2nd largest coal reserves, 10th largest oil reserves. Russia India energy partnership theoritically appears to be most attractive but because of Geographical reasons there is a limited feasibility. At the max Indian companies can go for investment in oil & gas sector or India can have swap deals. Recently, Russia-china have entered into agreement for construction of pipelines Eg. Power of Siberia pipeline, East Siberia, Pacific ocean Pipeline; Altai Pipeline. Indian companies have lost bid to get stakes in Sakhalin II. We got stakes in Sakhalin I but it is not an attractive investment in terms of cost. India is trying to get stakes in Sakhalin III in Siberia & Yamal Gas field in Arctic. There is a scope for energy partnership b/w Russia & Pakistan. Russia is constructing a pipeline b/w Karachi & Lahore.

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Nuclear Energy Partnership-

Nuclear Energy is the most strategic Area. India & Russia have also adopted strategic vision in nuclear energy. Russia is expected to build 12 new reactors. They have already concluded agreement on kudankulam phase 5 & 6. India & Russia have entered into an Agreement for joint uranium mining. Russia will be providing technology to handle nuclear waste & manage nuclear safety. They will be working together to produce Nuclear Readers to be sold to the 3rd world countries.

Economic Partnership-

Most disappointing aspect of the relations. In present age no relations can be carried without strong economic inter depende. Despite many actions bilateral trade is below potential. India Russia bilateral trade is around 11 bn $ whereas Russia china trade is above 100 bn $. Similarly India US trade is above 100 bn $. There are some structural problems in Russia:

(i) Poor law & order situation
(ii) Insufficient banking infrastructure.
(iii) Protectionist Policies
(iv) Strict visa regime.
(v) Russia's tensions with western countries.
(vi) India's trade with western countries.

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(viii) Transportation cost.

- People to People contact.

Another weak area. on the other hand it is the strength of India-US relations. Present time no relations can move forward only on govt. to govt. basis.

- Geopolitical concern.

(i) Russia's Relations with china.

Russia-china relations have gone through the phases of continuity & change. For longer time relationship has not been peaceful. They have competing ~~pbeas~~ claim over territories in siberia. Russia is not comfortable with increasing presence of china in central Asia. Balance of Trade is in favour of china. Still today armies conduct mock drills they project each other as enemies. Russia & china were initially together in the cold war. But china formed axis with USA even today chinese dependence on USA is many times more than that of Russia. At present Russia has become junior partner of china. the reason for closeness b/w Russia & china is not the closeness b/w India & USA the real reason is western policies of isolating Russia. which have pushed Russia towards china. China is the biggest beneficiary of the rift b/w west & Russia. At present the alliance is tactical but it may soon become strategic because both countries are fast increasing their interdependence so that other should not desert / plead.

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(11) Russia Pakistan Relations.

Ian Bremmar calls Pakistan the Pivot state of International Politics. Because of its location and being epicentre of terrorism. Russian experts like Andrew korybko associated with Govt sponsored think tank: calls pakistan as zipper state of Eurasian integration (connective state). this show the importance Russia is giving to pakistan.

Russia's flirtations with Pakistan are not new. Even till 1970, Russia tried to bring Pakistan to its side. Russia Pak. military Exchange is also not new. Today Russia is coming to Pakistan because Russia is isolated. Russia looks for new friends & new markets. Pakistan is important to address Russian security concern arising out of extremism. Pakistan can also be a market to compensate losses Russia is having in India in addition to having with China. Pakistan has a reason to show closeness with Russia it not only give access to high technology defence equipments it also allows to play Russia card against USA. It can get economic & military aid from USA It will also weaken India's confidence as so far Russia is the only all weather friend of India. It is to be noted that Geostrategic scenario is changing. No country will overlook pakistan. Pakistan has good relations with all P5 countries with the exception of India it has good relations with all major powers including Iran & Saudi Arabia.

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→ India can communicate that one old friend is better than two new friends. India can remind Russia that Pakistan is a country responsible for the collapse of USSR which Putin considers as great est Geopolitical disaster. Putin has entered into a very risky game. India should communicate its genuine concerns. India should draw the red-line. Russia can develope its relations with Pakistan & China. But not at the cost of Indias security. Today Russia is more isolated than India. India & Russia are natural Partners. India is the only country which will always be beneficial if Russia becomes stronger.

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India China Relations -

Official Status:

Strategic Partners since 2003.

Content of Strategic Partnership.

Strategic Partnership has global dimensions. India-China will work together for establishment of:

(i) Multi Polar World order.

(ii) Reform of Institutions of Global Governance.

(iii) convergence on WTO, climate change & threats like Cross Terrorism.

Actual State At Present -

There was lot of optimism when Modi came to power. Modi Govt. coined the phrase 'From Inch to Miles' Means India-China Millenium of exceptional synergy. However, at present relations are at their lowest. some recent issues of the tensions b/w India & China include:

(i) China's strong reaction against Dalai Lama's visit to Arunachal Pradesh.

(ii) China has consistently put veto on India's entry into NSG. China has

(iii) China has consistently rejected India's application to declare Masood Azhar as UN designated terrorist & under 1267 committee which will force Pak. to accept freeze & travel ban.

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(iv) Tensions over south china sea dispute.
(v) China's concerns over sale of Arms to Vietnam.
(vi) China's pressure on India to join OBOR. C
(vii) China did not support Modi Govt's attempts to brand Pakistan as a country sponsoring terrorism in a BRICS summit.

Evolution of

Regarding China there exists two schools of thoughts in India:

(1) Idealist :- Scholar- Ravindranath Tagore.

Tagore expected that India china will work together for betterment of Humanity. India china represent great civilisation. He expected that Borders should not become hot spots of geopolitical conflicts rather Borders should be the spots where civilisations meet and traffic of ideas take place. Tagore believed that there is a convergence bw India's world view of Vasudhaiv Kutumbakam and Chinese world view of Shijie Datong. which means world in a great harmony. He coooted that future of India-China relations should be guided by the past. India & China have been living together in peace for centuries enriching each other.

→ Pandit Nehru.

Nehru was supporter of Asian century. There cannot be an Asian century without India china & Japan coming together.

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even in contemporary India leaders like Manmohan Singh & Present PM Modi do talk about Asian century.

(ii) Realist School of Thought.

Scholar- Sardar Patel.

Sardar Patel was always considering china as a threat. He was convinced that China has territorial ambitions He considered china as irridentist state means land grabbing state. He warned Pandit Nehru About China's offensive strategic culture. He wanted govt. to take proper provisions for defence against any possible chinese attack. From the perspective of sardar patel the only way to avoid war with china is to remain prepared for war.

(iii) Pragmatic School.

In present times there is a growth of Complex interdependence. Hence, scholars like C. Rajamohan & strategist like Shamsaran suggest to take balanced approach. the formula for China is engagement wherever possible, containment wherever necessary.

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→ Stages in the evolution of Relations:

① Phase I - till 1962 war.

Best phase. known as Hindi chini Bhai Bhai.
India is the 1st non-communist country to recognise communist china. India opposed us resolution blaming china as agressor in korean crisis
India kept on insisting permanent seat for china.
However, in this phase relations were not free from tensions. Tensions started on Tibetan issue.
Tibetan issue & Border issue is inter linked. It is believed that till Tibetan issue is not resolved. relations will not become normal.

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→ Events leading to 1962 war.

In 1950 china has occupied Tibet. It was became clear that china has expansionists design. Mao has given the concept of Palm & Digit means Tibet is a chinese hand & 5 Himalayan kingdom/Region are its digits.
ie. Aksai chin, Arunachal Pradesh, Nepal, Bhutan, Sikkim.
India & Bhutan, India & Nepal entered into treaty of peace & friendship against chinese operations in Tibet
Tibetans started taking refuge in India. India automatically got involved because Indian & chinese boundaries have not been determined. It became apparent that china will commit agression.

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Among Indian leaders the question was how to avert or avoid agression.

→ S.V. Patel's view.

Balance of Power.

→ Nehru's view.

Appeasement with china. Pandit Nehru visited china in 1954 which resulted into an agreement over the status of Tibet known as Panchsheel.

(i) India accepted Tibet as chinese territory.

→ Panchsheel Agreement :

(i) Sovereignty and Territorial integrity.
(ii) Non-interference in domestic affairs.
(iii) Non-agression
(iv) Peaceful co-existence
(v) Equality and mutual benefit.

India also gave up all traditional trading rights which it had because of British Treaties.

Nehru was criticised in Indian Parliament because there was no concrete gain for India.

In 1955 Govt of India came to know that china has constructed a Road across Aksai chin. Pandit Nehru ordered to build Military checkposts in Aksai chin region. china called Nehru's policy as 'forward Policy'.

china also accused Nehru interfering in domestic affairs. china accused that India working with CIA & providing trainning to Tibetan insurgents in Darjiling.

(1)* India didn't bargain anything in return.

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In 1959 India granted Asylum to Dalai Lama. China accused that without India's help it could have not been possible for Dalai Lama to escape.

All these events ultimately led to Border skirmishes & ultimately pull border war.

China calls 1962 was as offensive defence, a preempt ve approach to teach lesson to India.

(ii) Phase II - From 1962 to 1979

Phase of cold Peace.

No relations b/w India and China. However, China start ed engagement with Pakistan. Pakistan became proxy of China to keep India engaged in South Asia so that India will not be able to challenge China.

Phase III - From 1979 to 1988

In 1979 Vajpayee as a Foreign Minister visited China to break the ice. However, on same way China attacked on Vietnam. India was close friend of viet nam. Vajpayee had to return empty handed.

China tried to normalise relations with India not only with India but with other neighbours also as China started economic reforms. China declared its policy of 'peaceful rise' India & China have set up a working group b/w military personnel to resolve boundary dispute. 8 rounds of talks took place. Media reported that China has proposed package deal. As per package deal China proposed that if

1981-87

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India recognises Chinese Sovereignty over Aksaichin, China will recognise India's sovereignty over Arunachal Pradesh. In 1987 India gave full statehood to Arunachal Pradesh after which there was chinese incursion in Sumdorong chu valley. in North eastern sector

What is the Border Dispute?

India & China have been civilisational states rather than territorial states like European states. Between these two civilisations there used to be transition zone. once British empire got established they tried to fix India's territories. In the west they made Durand Line a boundary b/w India & Afghanistan. With China they wanted to settle the boundary hence they called a conference in Shimla in 1914. In this conference they invited the representatives of the chinese emperor., representatives of Tibet.

What was the relationship b/w Tibet & China. Whenever chinese central authority was strong Tibet was under china & whenever authority was weak Tibetans used to claim autonomy. In Shimla conference Britishers accepted chinese sovereignty over Tibet. However they forced china to accept the autonomy of outer Tibet. They accepted complete sovereignty of china over inner tibet. They also got special trading rights in tibet. In this conference chinese representative left in a middle & british entered into an agreement with representatives of Tibet.

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Agreement resulted into demarcation of boundary along McMahon Line in eastern sector. China does not recognise the legality of the boundary. Consider McMahon Line as imperial boundary. Britishers also wanted to settle boundary in the western sector. However china never responded. Britishers have prepared 2 maps:

(i) It represent Johnson Line. According to Johnson Line Aksai chin will be Indian territory.

(ii) It represent Mc Donald Line. According to McDonald Line Aksai chin shall be chinese territory.

China has not accepted any of the map.

→ India china has dispute in 3 sectors:

(1) Eastern sector.

According to china India has occupied 90000 sq. miles of chinese territory (Arunachal Pradesh).

In Arunachal Pradesh chinese claims have been changing at times they claim entire Arunachal Pradesh as outer Tibet or at times just Tawang Tract.

Significance of Tawang:

(i) Spiritual Buddhist Monasteries.

(ii) Tawang is known as granary of tibet as it is the only fertile tract.

(2) Middle sector

only in 2003 china accepted Sikkim as Indian territory

In 2003 India & china also started Border trade by

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opening Nathula Pass. In Middle Sector there are some disputed packets in Uttaranchal & Himachal Pradesh.

(B) Western Sector

India accuses china of occupying 38,000 sq. miles of Indian territory since 1962 war. known as Aksai chin. china calls Aksaichin as an extension of tibetan plateau & whereas India calls Aksaichin as extension of Ladakh Plateau. It is difficult to establish claims in the region because it is not inhabited. However India provide evidences of land grants & Aksaichin as a part of Indian state of Jammu & kashmir.

What is the significance of Aksai chin for china:-
Aksaichin is the only all weather road which connects the two disturbed regions of china ie. tibet and Xinjiang. Besides Aksai china china has also control over ~~the~~ 2,170 sq. miles area which was given to china by Pakistan known as Shaksgam valley Part of Gilgit, Baltistan.

(i) Gilgit Baltistan (Shia Muslims).
(ii) karakoram Pass.
(iii) Siachin
(iv) Aksaichin.
(v) Trans- karakoram highway.
(vi) kunjrab pass.
(vii) Mc Mahan line.
(viii) Nathula Pass.
(ix) Chumbi valleys
(x) Dams on Brahmaputra. (Zangmu, Jiacha).
(xi)

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(iv) Phase IV- From 1988 to

(1) Rajiv Gandhi's visit to China -

He was successful in breaking the ice.

→ Achievements of the visit:

(i) For the 1st time China recognised the necessity of the resolution of Boundary dispute.

(ii) India & China had set up working group comprising of Military officials to do the ground work.

- 1993 Narsimharao's visit which led to the agreement on peace & Tranquility on the border.
It is because of this agreement that India China borders are peaceful borders. Whereas India Pakistan borders are violent. It is the main reason than LAC is peaceful whereas LOC is violent.

Aksaichin ↓ LAC

- 1996 Chinese President Xiang Zemin's visit which resulted into Military confidence building measures. Which include regular flag meeting bw military personnel. No dangerous military activity around LAC reduction on dangerous weapons on border. Prior intimation before any side conducts a military deals.

Reason (China) ↓ Internal growth of China. ←

By this time there was a qualitative improvement in India China Relations.

- 1998 operation Shakti - China was shocked when India was gave China factor. (Nuclear Weapon).

- 2003 Vajpayee's visit - India entered into strategic partnership, China recognised Sikkim, However, the most

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important achievement was that two countries determined the guiding principles & political parameters to resolve the border dispute.

They have instituted the mechanism of special representatives to meet annually. one of the 1st task of special representative's was to determine guiding principles & political parameters. It was decided that Border issue will be resolved in 3 Phases.

Phase I- formulation of guiding principles.
this phase is complete.

Phase II- Ground Work
this phase is also complete.

Phase III- Exchange of Maps, demarcation of Border on ground & delineation of boundary on map.

What is the approach of china?
At present china doesnot want to resolve the dispute finally. Whereas, India wants to do it urgently.

(i) china thinks that if Border issue is resolved India will get free hand to create disturbance in Tibet. this shows huge trust deficit.

(ii) In last few years there has developed a considerable gap b/w India and china. china wants to dictate the terms. china wants to conclude an agreement in future when there will be huge gap b/w India & china.

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What are the guiding principles & political parameters?

(i) Any resolution has to be fair, reasonable & on equal footing.

(ii) The opinion of settled population in the region will be taken.

(iii) Geographical situations, practical problems will also be to be taken into consideration.

Views of Present President of China.

BRICS Summit Fortaleza, 2014. Border dispute is the most complex leftover of the history. solution is not going to be easy, He gave 5 point approach:

(i) continue strategic communications.

(ii) Harness each others competitive strength.

(iii) collaborate on multi-lateral forum.

(iv) strengthen cultural ties & people to people contact (It is very important that both govts mentally prepare their people for give & take).

(v) Proper handling of the differences.

Views of PM Modi

(i) Chinese President's visit to India in 2014.

though it is a complex left over of History yet we have responsibility towards future generation. We have to resolve this dispute to realise the extra-ordinary potential of our relations. Dispute should be resolved in the manner that it results into the complete transformation of our relations.

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Border Defence Co-operation Agreement, Dec. 2013

Occassion - Manmohan Singh's visit to china.

Context - In recent years there have been many occassion when countries have blamed each other for incursion. Incursions happen because boundaries are not demarcated. Hence, to handle incursions this agreement was important.

→ Features:

(i) Regular dialogue b/w defence forces at all levels.

(ii) Establishment of hot lines neither side will use use force or threat of force if military personnel comes in face to face situation both will maximise restraint.

(iii) No tailing of each others forces in case of any misunderstanding seek clarification.

→ Emerging areas of dispute.

(1) Water Dispute

Water dispute is also linked to Tibet.

What is importance of Tibet?

(i) Source of all major Asian rivers.

(ii) It is expected that it has oil gas & other mineral reserves.

(iii) Rich Forest wealth.

(iv) Geo strategic location at the tri-junction of South Asia, central Asia & East Asia.

What is water issue?

As per 12th FYP of china, china will be constructing around 30 dams on Brahmaputra (Tsang Po).

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for long china was denying but after satellite images china has accepted. According to china, dams will not impact availability of water in lower Riparian states because they are not storage dams, they are run off river streams. India believes that china has diversion plan. china want to divert the water to its water scarce region. Dams are in seismic zone. In 2001 a dam collapsed in Tibet in which 26 people died in Arunachal Pradesh & it caused damaged of 140 crore ₹. china can also use dams for military purposes. It will impact availability of water in India. However, according to the experts it will not have much impact because 70% of the water in Brahmaputra on Indian side is due to rainfall. India wants an agreement on sharing of water of Brahmaputra. whereas china is not interested. china has just agreed to share data on water level & rainfall. twice a day. b/w June 1st to October 15th. China also charging money for giving this data. whereas India provides similar data to South Asian neighbours for free.

② Trade Issues.

What is the problem?

Negative Balance of trade with china.

What is the significance.

Economic interdependence has resulted into improve-

Reasons Challenges - Future wars will be water wars.

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ment in relations but in future it may result into cause of dispute.

→ Present trend -
Bilateral trade is declining. Bilateral trade was for 2015 was $ 72.34 bn. In 2016 it has become $ 70.73 bn.
Why? Because of the slow down in chinese economy there is a slow down in a trade / demand.
Trade deficit is increasing. Trade Deficit in 2014-15 was $ 48.48 bn For 2016 it has become $ 52.68 bn.

→ Reasons - India exports RM whereas imports manufactured items.
(i) China does not open those sectors where India has advantage like IT & pharmaceauticals.
(ii) China imposed non-tariff barriers.
(iii) China imposes sanitary & phyto-sanitary measures against agricultural produce.
(iv) India's manufacturing sector cannot compete with china
(v) the only way to adress the problem is by increasing chinese Investment. chinese investment is also problematic because of high rate of interest.

→ China in South Asia -
China has good relations with all of India's neighbours whereas India has problems with all of its neighbours except bhutan. scale of present china has

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in India's neighbourhood India does not have that presence in china's neighbourhood.
Whenever India deals with any of the neighbour Eg. Sri Lanka Pakistan it is always Sri lanka plus china, Pakistan plus china.
china has significant presence in all countries of South Asia.

(i) Afghanistan -
china has made $500 mn investment in Afghanistan. china is a part of quadrilateral talks on Afghanistan -

(ii) Pakistan -
The only example of all weather friendship of the world. They describe their relationship as higher than mountains, deeper than oceans, sweeter than honey & stronger than steel. china is providing civil nuclear technology to Pakistan. china has helped in developement of nuclear weapons & missiles china is going to $ 46 bn investmeot. in CPEC.

(iii) Bangladesh.
Massive Invt. in Infrastructure, SEZ. china sells military equipments to bangladesh they have regular military exercises.

(iv) Sri Lanka.
china is a biggest donor involved in infrastructure developement.

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(v) Nepal-
Extremely close relations. Working together to end Nepal's dependent on India for transport.

(vi) Maldives-
Relations have become deep since Democracy have come to Maldives.

(vii) Bhutan.
Winds of change has started blowing since Democracy has come to Bhutan.

Lecture 19
22/04/2017

Chumbi Valley.
China has undissolved border dispute with Bhutan. It has been reported that china has offered a package deal to Bhutan in exchange of land adjacent to chumbi valley china has offered two times more land in the north. china is also offering lucrative economic package.

India china rivalry on oceans-
India china have been territorial nations. only recently they have started paying attention towards oceans. It is often predicted by scholars like C Rajamohan that Futhure war will be on oceans. Both the countries are increasing their natal strength & are adopting assertive posture on oceans.

Context of India china Rivalry on Ocean.
India china relations are not independent of china - us relations.

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What is USA's policy towards Asia Pacific.

USA has always been focused towards asia Pacific. Much of USA's trade & commerce is concentrated in the region from Economic perspective Asia Pacific is actually more important than middle east in terms of us investment, job creation. Strategically also it is most significant region considering the presence of major powers china, India, Japan, Vietnam. It also has nuclear armed states. North Korea, china, India. Since the end of 2nd world war USA has entered into alliance with smaller countries. USA's allies are Japan, S. Korea, Taiwan, Singapore, Philliphines, Thailand, Australia, Newzealand. Once the end of 2nd world war USA is following the policy of containment of china. In order to contain china not only USA has entered into treaty partnership with chinese neighbours. USA was a major force, behind establishmen of ASEAN. USA has kept Tibetan issue & issue of religious freedom in xin xiang region alive. Since, 21st century there has been a exceptional rise of china. US scholars like Mearscheimer believe that rise of china will not be feasible Hence USA has to persue containment policy along with engagement. Former US President obama has launched 'Asia Pivot' Asia Pivot is not a new policy but just a new name.

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of ongoing US policy. Asia Pivot also later renamed as Asia Rebalance. Under obama administration USA has time & again repeated peace & stability in Asia Pacific as USA's core national interest. Obama Administration has strengthen strategic partnerships with other countries of the region besides its allies eg. Vietnam, India It has normalised relations with Myanmar. Increased deployment of US Marines.

In USA's containment policy India emerges as Ideal going state. India has reasons to balance china. US department of Defence brought a report titled 'Energy Futures in Asia' in this report they have suggested that china has string of pearls policy. china is developing Naval Posts in Indian ocean to contain India.

Chinese Pearls in Indian ocean.

(i) Hainan Island in S.china sea where china has Military base
(ii) Woody Island in south china sea where china has plan to develope Airbase.
(iii) canal through Isthmus of Kra b/w thailand & Malaysia.
(iv) Sonadea & Chittagong port in Bangladesh
(v) coco Island - Myanmar where they has receiving posts.
(vi) kyaokpyo - Myanmar
(vii) Mambantota - Port in Sri Lanka
(viii) Djibouti (in Horn of Africa.
(ix) Maldive Islands
(x) Gwadar port with Pakistan.

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→ Views of Govt of China
China has no containment policy. These ports are to protect chinese trade through Indian ocean. It is for protection of sealines of communication from threats of piracy.

→ Views of Govt of India
India support US discourse
What India is doing?
India is giving priority to its Navy. India has acquired Aircraft carrier, Nuclear submarines.
India has developed its own pearls.
Indian Pearls.
Sittwe Port in Myanmar.
Naval command in Andaman & Nicobar.
Mauritious
seychelles
Madagaskar
Mozambique
Thumrait Air Base in oman.
Chabahar port in Iran.

① Study chinese & Indian Pearls.
② IORA

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India is actively persuing Naval Diplomacy ie Milan exercises with Navies of S.E. Asia; Malabar Exercises with USA + Japan, - India; IBSAMAR -; Active participation in Indian ocean Naval symposium (IONS).; India Australia & Mauritius are working together for revival of Indian ocean rim association (IORA) An organisation found in 1990s which is defunct uptill now. Future goal is to create free trade Area.

study IORA.

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India has changed its look East Policy to Act East policy. Basic difference in look east & act east is the primary focus of look east is economic whereas that of Act East is strategic. In look east the focus was on South East Asia. Act East Expanse to Asia Pacific Region./ Indo Pacific ocean. Since 2004 India is consistently releasing its maritime doctrine the title of 2013 doctrine is - 'Freedom of seas'. The title of 2015 doctrine is - 'Ensuring safe seas'. India has mentioned freedom of seas as a key National Priority. India has assumed the role of 'Net security Provider' British India was a Net security Provider in Indian ocean.

Net security Provider.
Country which provides security to other countries also & Net security means from all types of threats ie. conventional & non-conventional.

India has also launched projects like Project Mausam, Project Sagarmala, Blue Economy

→ South china Sea Dispute -
India & USA have released their joint vision which mentions about their stakes of these countries of Peace & Stability in Asia Pacific (2015 - during Obama's visit).
Govt. of India has also expressed its displeasure on chinese attitude w.r.t. the decision of tribunal in context of South china sea.

Maritime doctrine - objective of Navy.

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Ministry of External Affairs has published its stand on south china sea:

India supports Freedom of Navigation, over flight & un impeaded commerce based on International laws (UNCLOS). State should resolve the dispute through peaceful means without threat or use of force. State should act with self restrain. Then sea lines of communication passing through south china sea are critical for peace & stability. India urges all parties to show utmost ~~se~~ respect on UNCLOS.

Why India is interested in south china sea?

since, 1991 India has developed huge economic interest in the region in India's trade & investment growing in the region. South China sea is also having oil & Gas. India intends to work with countries like Vietnam for exploration of oil & Gas.

What is the importance of South China Sea?

It is 1.4 mn sq miles water body in Pacific ocean starting from Singapore & malacca straight in south and stretches till taiwan in North.

It touches the boundary of china, Taiwan, Vietnam, Malaysia, Philipines & Northern Indonesia.

It is the busiest International Sea link the total traffic is 3 times more than the traffic passes through suez canal. & five times more than the traffic which passes through Panama canal.

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- Annual shipment of more than 5 tn $. is supposed to have oil & gas.
- Most densely populated region in the world.

Robert. D Kaplan (Book Monsoon) in his article titled South china sea the future of conflict published in 2011. in foreign policy. He predicts, South china sea will be the future Geo political Hotspot. like German soil during 2nd world war. It is from South china sea that china will erase the centuries of foreign transgression on its territories & will determine the future of US power in Asia pacific.

What is the dispute?

Overlapping claims among the states over the islands.

make a diagram of South China Sea region.

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:What china is doing?

Not only laying claims on the Islands also constructing artificial Islands which even impacts the ecology.

China wants to converts the international body into chinese lake.

China wants to foil USA's game plan to choke chinese sea lines of communication.

China has taken assertive posture on territories not only in South China sea but even in East china sea. In East China sea it lays its claims on Senkaku Island and Diayo Island. In past china has established its Air Defence Identification Zone in East China sea.

What is the purpose of china taking assertive stand?

chinese economy is slowing down. There is a resentment against Communist Party of China because of huge corruption.

Chinese are having more & more exposure towards Democracy.

China wants to divert the attention of chinese people towards external threats raising ultra-nationalism.

Present President talks about 'China Dream'. It means rejuvination of chinese nation ending all traces of two centuries of National Humiliation.

- OBOR Initiative -

There was deterioration in the relations in neighbourhood because of chinese agressive stand. This has pushed its neighbours more closer towards adversaries.

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Now china wants to rely more on its soft power. According to sushant sareen, we have seen communism with chinese characteristic, capitalism with chinese characteristic & now OBOR is neo-imperialism with chinese characteristic. OBOR has multiple objectives:

(i) Geoeconomic -
It will provide outlet for the chinese reserves of foreign exchange. It will provide avenue for utilisation of over capacity in infrastructure. China will diversify its markets, reduce dependence on USA & Market. It will also provide employment to the chinese.

(ii) Geo-political -
It will build china's soft power. It will reestablish Sino centric world. It will challenge USA's hegemony in Asia pacific.

(iii) Geo strategic -
It will counter USA's policy to contain china by controlling the choke points. USA has a advantage on oceans. OBOR is an initiative that connects chinese cities to European cities.
OBOR will also be helpful in developement of its backward region in southwest like Yunnan.

~~South china~~
OBOR has two dimensions -
(i) 21st century maritime silk ~~route~~ Road.
(ii) Silk Route Economic Belt.

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In Silk route economic belt there are 6 sectors :

(i) china - mangolia - Russia. will be connected by Trans-siberian railways.

(ii) Urassian land ridge. connecting Europe via kazakistan & Russia & Belreize

(iii) china - central Asia - West Asia Corridor this will connect china - central Asia - Turkey - Europe.

(iv) Indo-china Peninsula corridor.

(v) china - Pakistan Economic corridor.

(vi) BCIM corridor.

. Prepare a map on OBOR

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At present 60 contries are involved.
Funding agencies include AIIB, EXIM Bank of China, Sovereign (Chinese) wealth Fund, Special Fund for Silk Roade

should India be joining ?

Approach of Govt. of India-

Govt. of India is not willing to join either BCIM or China - Pakistan Economic corridor.

No Govt. can compromise with its sovereignty & territorial integrity.

According to Foreign secretary there is a difference in OBOR & AIIB. India joined AIIB Because it is a multi- lateral initiative India was involved in AIIB since its conceptulisation. India has ensured that AIIB will not finance any project to which there is an objection by any member country. OBOR is entirely a project of Govt. of China. China has announced OBOR unilaterally in ASEAN summit 2013. India is not involved in the consultation. In recent times there is not a single gesture of china which is favourable to India. India should stay away from chinese charm offensives. China is pressurising India because without India their In Roads in South Asia remains incomplete. china itself knows limited feasibility of china Pakistan economic corridor as it passes through Balochistan. It will create more market for chinese products.

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According to the scholars it is not good for even Pakistan. Countries who are joining OBOR are those who do not have capacity to oppose China. China gives loans & take heavy interest in case countries are unable to pay the debt China goes for land swap. It may happen that Pakistan will come into huge debt & China will bargain for Gilgit Baltistan. If India cannot stop OBOR, India cannot be a party to its own destruction. OBOR is China's strategic move India should use its resources wisely, not on Chinese projects. India should work with like minded countries. Japan's PQI (Partnership for Quality Infrastructure) is a good alternative for India. BRICS Summit show that India does have bargaining power over South Asian Neighbours. If India doesn't join Chinese game Plan will fail.

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India Japan Relations-

Official status-

Japan secretariat level

Since 2014, India Japan are special strategic & Global partners. With Japan, south korea & Russia India conducts 2+2 dialogue b/w foreign ministers & defence ministers.

Present state of Relations-

According to kanwal sibal, India & Japan are passing through cherry Blossom phase.

Japanese PM was Republic day guest in 2014. Emperor and Empress of Japan visited India in 2015 which is a special gesture.

Present PM of Japan has lot of admiration for India. In his book 'Towards the beautiful country' he mentions & praises India. He consider India as Japan's Natural ally. He consider India as close as USA and Australia.

PM Modi has visited Japan twice. India & Japan have successfully concluded civil Nuclear Agreement in Nov. 2016. Japan has given exceptional treatment to India as the only non NPT country with which it has entered into the agreement.

India & Japan are going to have defence partnership. Japan will be providing high end defence equipment like US-2 Amphibious aircraft which is so far best from the perspective of surveillance.

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Japan is participating in India's make in India initiative specially in defence sector.

Japan is the only country New Delhi has allowed to make investment in Politically sensitive region of North East.

Japan is also involved in Infrastructure development (civilian) in Andaman & Nicobar. The 2015 India-Japan summit reflect convergence on bilateral issues, regional concerns, co-operation in civil nuclear, counter terrorism, TI

There is a perfect convergence b/w Modi's act east policy & Shinzo Abe's 'Free & open Indo-Pacific'.

India & Japan are extending there partnership in Africa.

India is in partnership with Japan PQI initiative

India appreciate Shinzo Abe's New-~~New~~ National Security Doctrine.

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lecture 20
24/04/2017

Evolution of India - Japan Relations -

Before Independence

(i) Civilisational linkages with Japan. There has always been a warmth in the relations at the level of civil society. At 1914 Ravindranath Tagore acknowledged a warmth people in Japan had towards India, Japanese accept that it is not possible to understand Japanese culture without understanding India's impact. Japan helped Subhashchandra Bose forming Indian National Army.

After Independence - till 1974

Japan appreciated the stand of justice Radha Binod Pal who alone gave dissenting judgement in war crime tribunal constituted against Japan in 1948. India was one of the 1st countries to enter into peace treaty with Japan in 1950 after 2nd World War. India became highest recipient of Japan's official developement assistance.

According to David Malon, relations b/w India & Japan during this phase was not as warm as they should be. He calls state of relations as "Tepid"

Why?

Though there was no animosity yet India & Japan were in opposite camps. Japan was ally of USA. whereas India was critical of USA & was in the league of USSR. Japan & Russia till date do not have normal relations & technically they remained at war.

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India's closed economy was hardly attractive for Japan. Japan's stand was not pro. India in 1971 war. Japan was extremely critical of India's Nuclear Test in 1974 & temporarily haulted official developement assistance.

From 1974 to 1985
Relations remained 'Tepid' though Japan resumed official developement official. Japanese companies started investment in automobile sector. Cold War prevented any strategic convergence b/w India & Japan. Even at present Japan is not in perfect convergence with India as far as Pakistan is concerned.

From 1985 onwards-
Rajiv Gandhi visited Japan in 1985. India was also taking small steps towards liberalisation. Japan bet Rajiv Gandhi became the 1st Indian PM to address Japanese diet. His speech remains the guiding framework of all govts. in India. In the words of Rajiv Gandhi, relationship b/w India & Japan are not limited to the market place. let us rediscover ourselves in the Hearts and Minds of our people. Relationship is not just for mutual benefits, it is in the "greatest interest of Humanity."

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India Japan relations since 1991.

Relations started becoming meaningful because of following factors:

(i) Liberalisation of Indian economy.

(ii) Normalisation in India-US Relations.

(iii) Rise of china.

India-Japan started moving towards strategic partnership.

Year 2000 - Global partnership started b/w India & Japan

Year 2005 - Annual summits started b/w the two PMs

Year 2007 - India-Japan global strategic partnership and 2+2 dialogue.

Year 2014 - India-Japan special strategic & Global partnership. India & Japan are regularly conducting their naval excercises. Japan will be participating permanently in Malabar excercises.

→ Weak aspects of India-Japan Relations-

(i) Economic

Despite India & Japan have entered into comprehensive economic partnership in 2006 bilateral trade is not increasing it remains in double digit. It rather showing declining trend because of slow down in demand from Japan. Trade is around 16.29 $ bn which is many times less than their trade with china. India is not still leading recipient of Japan's investment which goes to china & Vietnam.

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According to Japanese Govt.
Business environment in India is unpredictable.
Lack of proper infra
The biggest issue is red tapism

PM Modi has promised that Now Japanese businessmen will find Red carpet rather than Red Tape.
In is included 2 nominees of Japanese Govt in the team of special economic advisors to adress their concern.

Future prospect

As Present PM of Japan is changing the security doctrine there is a scope of further deepening of security partnership.
There is a huge scope for co-development and manufacturing defence equipment under make in India initiative.

- Japan can be considered as India's Natural partner if we go by Kautilya's Mandal siddhant. However there is no scope for being complacent. Both countries have to take concrete measures. India-Japan civil nuclear agreement needs to be ratified as soon as possible & India has to full-fill its promises in making business environment friendly

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Art. 9 of Japan's constitution.

Japan cannot keep forces more than required for self defence. Japan's self defence forces cannot operate beyond territorial waters with the exception of participation in peace keeping operations.

Shinzo Abe, Aspires to amend Art. 9 as his party lacks majority in the upper house therefore it is difficult to bring amendment. He brought concept of 'Dynamic defence'. It allows Japan's defence forces to operate beyond territorial waters. Abe wants to end 'Yoshida Doctrine which made Japan a trading state. outsourcing Japan's security to USA. Abe wants to make Japan a Normal country. Shinzo abe's security & economic policies create lot of scope for meaningful co-operation.

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India European Union Relations

→ Official status:

Strategic Partners since 2004.

Actual status:

India EU strategic partnership is known as 'love less arranged marriage'. There is nothing strategic in India-EU relations. Because India & EU show a big gap on strategic issues. Eg. India's position on Russia's annexation of Crimea is completely opposite to EU's position. Similarly Russia is the biggest geo-strategic challenge to EU whereas Pakistan is biggest geostrategic challenge to India (China also). European Countries have good relations with China as well as Pakistan. EU's position w.r.t Human Rights violation in Kashmir is not in sink with India's position. India EU' has conflictual interest at WTO in terms of Intellectual Property Rights, Agricultural Subsidies, they also do not have convergence on climate change issue India- EU strategic partnership is based on some weak ideas like.

(i) Multi-Polar world order.
(ii) strengthening multi-lateralism.
(iii) Counter terrorism.

However when these issues come in concrete situations divergences are more.

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→ What is EU?

EU is primarily a trading block of 28 European Nations. Though it is a trading block yet members do have common foreign & security policies

→ History of India- EU Relations-

India is one of the earliest country entering into diplomatic relations with EU in 1950s itself. After adoption of new economic policy. India & EU entered into joint political statement in 1993 which takes the relations beyond trade & economics. in the year 2000 they started summit & since 2004 they are strategic partners in 2005 they have adopted Joint Action plan to carry forward strategic partnership. Areas of strategic partnership include Political, Cultural, economic, strategic dimensions. EU has emerged India's largest trading partner. EU is also the source of FDI However India receives just 1% of EU's FDI. India's share is less than $\frac{1}{10}^{th}$ of china. Since EU is primarily a trading block the most important factor that can make relations strategic is earliest conclusion of Free Trade agreement. since, 2007 they have conducted multiple rounds of talk. In 2016, PM Modi adopted 'agenda 2020'

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According to which by 2020 India & EU will be concluding Free Trade Agreement. If free trade area comes into existence it will create a market of 1.7 bn people. Free Trade Agreement is comprehensive covering issues like investment, services, competition policies, environment & labour laws. Free trade talks are happening out of public watch. Hence there is lot of apprehension by civil society against the talks. Uptill now the stand of Govt. of India is to protectionist. The major sticking points in FTA are:

→ EU's concerns:

India is protectionist where EU has upper hand.

(i) Dairy sector

Indian Co-operatives like Amul oppose reduction of tariff on dairy products as it may threaten the livelyhood of 3.5 bn dairy producers in India. & specially economic empowerment of rural women.

According to Amul, EU puts non-tariff barriers on India dairy exports.

(ii) Wine & spirit

farmers lobbies in India are putting huge pressure on Govt. w.r.t. Liberalisation of wine & spirit.

(iii) Automobile -

Indian automobile manufacturers association is against tariff liberalisation in automobile sector as it will impact investment in automobile manufacturing, job prospects & Make in India.

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(iv) pharmaceaticals.

Indian Pharmaceauticals co. oppose EU demands for Amendments in Intellectual Property Rights.

→ Grievances of Govt of India.

(i) EU has not granted India the status of data secure country. If EU grants this status there will be jump in BPO sector & it will increase the competiveness of IT products. Govt of India has taken many steps for cybersecurity including amendment in IT act. However, it fails to satisfy EU.

(ii) Liberalisation of Mode 4 services. India wants EU to liberalise the movement of professionals. EU is defensive. Europen as wellas American companies often do not recognise degrees given by Indian universities. They impose conditions for certification.

→ What are other problems in strategic partnership.

(i) Lack of understanding

On one hand EU is complicated organisation. Difficult to anyone to understand. on the other hand India itself is a complicated federal set up. Arabaic laws, red tapism, corruption.

→ Future prospects:

EU is facing 2 crisis:

EU is too much involved in domestic issues since Global financial Crisis, Syrian Crisis. Hence, it doesn't seen that there are good prospects.

Note: one of the reason for weakness in relations is that India has close bilateral relations with individual countries like Britain, France, Germany. similarly European countries have close relations with India. India & Germany have bilateral trade.

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India's major economic partnership with Germany and Britain. Because of the bilateral dimension, both parties are complacent & there is lack of ~~relationship to~~ ownership in relations.

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US Hegemony

Q. Hegemonic stability Theory - Short Note.

Q. Status of US Hegemony. or Nature of world order.

Q. What challenges US Hegemony.

(i) Rise of China.
(ii) Rise of BRICS
(iii) Rise of NAM.

→ Hegemonic stability Theory.

Scholars - Charles Kindleberger & Robert Gilpin.

What is the theme of the theory?

for international peace free trade is important.

Why?

Wars have happened because countries go for protectionists policies.

What is their proposal?

Free economy requires liberal economic order.

Liberal economic order will not emerge on its own. It has to be recreated & it has to be managed..

Who will manage?

There should be some states or group of states which can act as an Hegemon.

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Who is a Hegemon?

Hegemon means leader.

Qualities of Hegemon :

(i) capacities ie. Economic & Military Power.

(ii) Willingness Eg. USA have all capacity but it lack willingness till 1st world war. USA became determined only after 2nd World War.

Span of Hegemony?

Maximum 100 years

Why?

(i) Hegemon overstretch.

(ii) Free riders

Why Hegemon will serve the public good?

It will also benefit hegemon.

Why other countries should accept?

They will have peace & prosperity.

Examples of Hegemon :

upto now two examples at a Global level.

(i) Pax Britanica. (Pax - Dictacted Peace).

(ii) Pax Americana.

→ Nature of World order & status of ~~US~~ US Hegemony :

In present time there is a debate on liberal world order. Liberal world order got established 1st after 1st world war & 2nd time after 2nd world war.

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Even after 2nd World War US Hegemony was not absolute.
challengers were -
(i) Soviet Union
(ii) NAM.

US Hegemony was further challenged in 1960s because of Rise of Japan & EU which led to the establishment of G7 countries.

US Hegemony in 1970s & 80s.
US could not win Vietnam war, it has challenged US Hegemony & USA has over stretched itself economically & militarily. Japan & EU were continuously challenging USA's economic supremacy.

US Hegemony since the end of cold war:

From 1991 to 2001:
Unipolar Moment.
Francis Fukuyament declared end of History.
Since 2001 US Hegemony is facing following challenges:
(i) Rise of Islamic Fundamentalism.
(ii) Rise of China.
(iii) Resurgence of Russia.
(iv) Rise of BRICS countries.

Islamic threat is not a major challenge. BRICS future is also a uncertain. It is said that BRICS does not have Mortar. Rise of China & Russia may be a cause of concern. the major irritant is North Korea.

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→ Debate on US Hegemony.

① Declinists -

(i) Farid Zakariya -

Book - Post American World.

According to him we are already living in a post-American world. It has happened not because of USA overstretched itself but because of rise of others.

(ii) Joseph Nye -

The decline of US Hegemony has been because of Bush Administration's excessive reliance on hard power.

(iii) Eric Edelman -

'American Zietgist (Spirit) is clearly shifting because of economic downturn & US involvement in counter-insurgency operation.

(iv) Niall Fergusson.

We are living in a A Polar World. There is no polarity & power is getting diffused.

② Anti- Declinists -

Made line all right. AlBright - Former secretary of state under Clinton Administration.

According to USA is 'indispensible Nation' more than USA other countries need US Hegemony. They understand the importance of USA.

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(ii) Samuel P. Huntington

USA's power comes from its strategic location If there are challenges to USA there are more challenges to any other country. Every other country lacks the capacity which USA has to deal with these challenges.

(iii) Charles Krauth Hammar-

Decline is a choice. He hold Obama administration responsible for decline of USA & believes that decline can be arrested.

(iv) Michael Mandel baum

Because there is USA, there is order & since there is order there is US Hegemony.

Is China challenge to US Hegemony?

According to Joseph Nye collapse of USSR meant the end of US china alliance. In present times American scholars like Mearsheimer considered china as a threat. Graham Allison predicted that US & China will get into 'Thucydides trap' & bound to conflict.

Why rise of China is concern

Speed & the scale of Rise of china is unprecedented never before in the History any other country has risen so fast in all dimensions of power. According to Lee Quan Yew china will be not just another big player but going to be the biggest player. To quote Nepolean, "when china will rise out of slumber it will astonish the world."

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Mearsheimer consider china as a threat & warned that US should not allow gap b/w US & Chinese power to decrease.

Henry Kissingel who was also the chief architect of USA's reproachment; insist that USA should look at china as a opportunity, as should adress some genuine grievances of china & should treat china respect-fully to what it deserves.

Present President of china also talks about the new Model of Great Power Relationship. Presently USA is dependent on china to manage the challenge of North Korea. Trump Administration's policy give contradictory messages. US china interdependence is so high that USA cannot persue containment alone without engagement. So far USA has persued containment as well as engagement. The containment policies include building alliances & supporting the cause of Tibet. US congress has Tibet Policy act 2002. by which USA is committed to Protect religious freedom of Tibetans. There is a special co-ordinator in US state department to handle Tibetan issues.

Taiwan – USA recognises Taiwan as a part of china. (Shanghai Communic, 1972). Since 1979 USA has unofficial relations with Taiwan. In 1979 US congress has passed Taiwan relations act. According to which USA will ensure that Taiwan's integration with china is not by force. USA has deployed missiles (Thadd Missiles) in Taiwan to ecure that china does not use force.

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Present President of USA has entered into a controversy when he tried to change US policy since 1972. since 1972 USA is maintaining one china policy. He has made direct call to Taiwanese president.

Xin xiang - USA accuses china of curbing religious freedoms of Uighurs Muslims. US & china to have trade disputes. US calls China as worst currency manipulator, violator of IPRs. US is planning to impose 45% Tariff hike on chinese goods against china's dumping policy. USA is bringing changes in domestic policies to attract US companies to do investment in USA itself.

lecture 21st
24/04/2019

Is china real threat to US Hegemony?

There are 2 schools of thought.

① China as a threat.

Mearshiemer, Graham Allison

Graham Allison → has given concept of Thucidides Trap for their relations.

What these scholars propose?

Containment of china.

② Henry Kissinger

The chief architect of reproachment under means engagement china.

Why relations are prone to confict?

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US policy of Hegemony :-

To establish its Hegemony USA aims to contain any potential challenger.

What USA has done to china?

(i) Entered into alliance with chinese neighbours.

(ii) Created domestic issues?

→ Taiwan – since 1972 USA has acknowledged Taiwan as a part of china, USA is following one china Policy. (Shanghai communique, 1972)

In 1979 USA has passed Taiwan Relations Act. by which USA is committed to ensure that Taiwan's integration with china should not be by force.

USA has deployed Missiles in Taiwan as a part of its commitment. Present chinese president is committed to end 'centuries of Humiliation'.

→ Tibet.

Since beginning USA is involved in Tibet. US congress has passed Tibet Policy Act 2002. According to which it has appointed special co-ordinator for Tibetan issue USA is committed to protect culture, linguistic & religious heritage of Tibet. USA is supposed to promote the dialogue b/w china & Tibet.

→ Xin Xiang –

US has been critical of the Human Rights violation of Uighur's Muslims living in the region.

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There are reasons for conflict on economic front. also:

(i) USA has -ve balance of trade with china which has become $ 350 bn.

(ii) USA accuse china of currency manipulation & violation of IPRs

(iii) USA accuses china of dumping.

Present US govt. has a policy of Make in America & Invest in America. Besides above chinese role in North korea w.r.t. Iran, syria, and closeness with Russia is also a cause of serious concern.

Why there will be no conflict?

(i) Economic interdependence -

No point for china or USA to disrupt economic inter-dependence. They are using bargaining techniques over each other.

North korea is not just an irritant for USA it is also an irritant for china.

Global efforts are required to adress counter-terrorism. US china do not have contradictory policies in Afghan. ietan.

They have joint stakes in ensuring that the other party follows commitments at climate change talks.

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What is required?

USA should treat china respectfully, engagement but not containment. US needs to ensure that china's rise is peaceful.

→ Is china a real threat to US Hegemony?

1st school of thought - Lee Kuan Yew

China's rise is exceptional. No other country has expanded comprehensive national power in such a short time like china. He reminds of Nepolean who held that china will astonish the world when it will come out of slumber. To support Lee kuan Yew's argument we can say that the size of chinese economy will surpass ecs economy by 2030. China has already started building sino-centric world through the initiatives like AIIB, OBOR.

2nd school of thought -

There is no near threat to US Hegemony.

→ China cannot challenge US Hegemony because it does not have peaceful periphery.

→ China is passing through pressure cooker syndrome (internal issues).

→ China cannot compete with USA in terms of technology

→ China is nothing but world's factory.

No comparison b/w USA's soft power & China's soft power.

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Above discussion show that China is no real threat It is said that china will grow old before it becomes Big. whereas USA has a demographic devidend.

- Non Allignment Movement - as a challenge.

Q. Discuss the relevance of NAM.

refer MEA ↓ MEA in Focus.

Q. Critically evaluate the achievements & failures of NAM

Q. Discuss the relevance of NAM for India.

Q. Analyse India's contribution to NAM

NAM is the largest platform of developing countries outside UN general assembly. In the words of former PM of India Mrs. Indira Gandhi, NAM is largest peace movement. It stands for South-South co-operation.

Historical context of NAM

It originated in the context of cold War when world was devided b/w the two military blocks. It is an attempt by the newly independent countries to stay away from Military alliances, determine their own priorities, focus on developement & become a stabiliging force by promoting disarmament. It is a brain child of Prominent leaders of the developing world like Pandit Nehru of India, President Sukarno of Indonesia, Marshall Tito of Yugoslaviya, Abdul Nasser of Egypt.

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India has organised Asian relations conference even before independence in 1946 in New Delhi. In 1955 first Afro-Asian conference took place in Bandung Indonesia, which lead to the 10 bandung principles. refer MEA ← which became the fundamental principles of NAM. The aim of principles was to strengthen UN, International law & pacific settlement of disputes. 1st conference was attended by 25 countries at Brioni Belgrade in Yugoslavia in 1961.

Evolution of NAM-

NAM agend has been evolving.

→ NAM in 1960s

Major focus was on Anti-imperialism & anti-racialism can be considered as most successful phase of NAM.

→ NAM in 1970s

though formal colonialism ended, neo-colonialism started. In Algies summit 1973 NAM brought the resolution for 'New International Economic Order'

No success.

→ NAM's agenda in 1980s.

Nuclear Disarmament.

NO Success.

→ NAM agenda in 1990s

End of cold war led to the question mark on 'raisond etre' of NAM.

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NAM appeared anachronistic. Relic of post. 1990s was the phase where NAM was in search of Agenda. Many members including Egypt suggested to End NAM. However, in Jakarta summit countries decided to re-invent NAM. It was held that it is wrong to look at NAM in a literal sense. It is not just about remaining out of blocks, it is rather a movement to adress the concerns of developing world. Even when there is a single super power it does not mean we have to align with the single super power. According to the supporters of the NAM, NAM is even needed more than ever. However, NAM's declarations remains rhetoric. NAM's relevance is questioned less because of the changed nature of world order. But more because NAM has no concrete achievements. NAM has become too big, diffused, disparate as an organisation. 1990s were the phases whe most of the problems emerged in third World like Iraq's invasion on Kuwait. NAM countries had no role despite the fact both were members of NAM. NAM has no relevance as a platform to resolve the conflicts b/w two prominent members ie India & Pakistan. NAM was a devided group NAM countries were devided into pro-soviet (India, Iraq & Pro-US Block) Pakistan, Saudi Arabia.

NAM was dominated by Pro-soviet & Anti-US countries Hence. NAM used to be called as Team B of USSR. NAM became the symbol of Anti-Americanism.

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NAM was criticised as club of dictators. demanding democracy in international sphere.

Another weakness of NAM was lack of organisational structure. NAM just has a ~~se~~secretariat in New York.

Is NAM relevant today?

It is true that movement is passing through the crisis of identity & the crisis of relevance. It is disappointing that NAM countries have not taken any concrete initiative in context of crisis in Libya & Syria. Still we cannot say that NAM does not have a relevance

According to Prof. Rashid Ud din Khan, NAM is a time-less organisation. It is a largest platform of developing countries. There are so many issues in developing countries which cannot be resolved without developing countries coming together. It is already an existing platform & members countries needs to take serious steps. In 2006 in Havanna summit (Cuba) NAM has adopted new agenda. Havanna declaration is critical of unilateralism, classifying countries as rogue states on Arbitrary ground & emphasise on the need to strengthen multilateralism. However, so far there is no concrete action & NAM declarations remained rhetorics.

MEA

→ Views of C Raja Mohan -

on prospects of NAM gaining relevance.

According to him NAM is in the state of Coma. It could have been best if member countries had dissolved NAM once cold war was over claiming 'Mission accomplished.'

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It would have been a graceful exit for NAM rather than the present state.

What is the approach of present Govt. in India?

Present govt. has less illusions towards NAM. This is the 2nd time when Indian PM has not attended NAM summit in Venezuala in 2016. For the 1st time the then PM Chaudhari Charan singh didnot attend NAM summit in 1979. However at that time absence was not because of ideological conflict the present govt. in India is more inclided towards strengthening strategic Partnership with USA & USA is not comfortable with NAM. Presently NAM is radicalised under the leadership of the countries like Venezuala, Iran & Malaysia. Present govt. does not have commitment towards ~~the~~ NAM though the are continuing NAM as a legacy.

Is NAM relevant for India?

NAM remains relevant for India.

Why?

(i) It is a platform where India has natural leadership.

(ii) India's engagement with western countries is desirable but India should not forget that India is developing country with largest no. of poors, malnourished children & we have very common interest with developing nations from Doha to Paris.

Support of NAM countries is important for Indias membership in UNSC. there are hardly any chances for reform of UNSC & India getting seat on the high table of diplomacy.

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In such scenario NAM is already a platform with the universal reach. However things cannot be in the spirit of Business as usual. Today NAM needs leadership NAM requires vision. NAM requires agenda. NAM requires to be re-invented.

Who can give leadership?

Only Govt of India can provide the leadership.

Why?

(i) Brain child of India.

(ii) No other country has such a capacity like India.

India can play the role of building bridges. It can play the role of building bridges bw North & South and South & South.

→ IBSA or NAM (India, Brazil, South Africa).

What is IBSA?

IBSA is new initiative of Govt of India working with 3 leading countries (Democracies) representing new model of south-south co-operation.

IBSA is a brain child of the then Minister of finance Yashwant Sinha.

What is the context?

It emerged out of the dissatisfac with the attitude of developed countries towards the developmental needs of the countries of south. The countries of South have been adversely impacted by the policies of WTO.

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Hence, developing countries force developed countries to adopt Doha Developement Agenda. However, they have not taken any step w.r.t. that. Hence, these countries wanted to show that themselves can contribute for the developement of south.

IBSA came into existence in 2003 by Brazilia Declaration. Since 2005 IBSA summit meetings has started. IBSA has 3 pillars:

(i) Geo-political.
Reforming the institutions of Global Governance.

(ii) IBSA Fund
Each country contributes 1 mn$ to the IBSA fund. countries are capable of giving more funds & above amount is not sufficient considering the challenges. Still it is to be noted that with small funds they have achieved concrete success. IBSA fund was awarded ~~Million~~ MDG* award 2010. Approach of IBSA fund is different from World Bank. It is demand driven, no conditionalities are attached. IBSA countries provides technical support. IBSA fund has been utilised for small but important projects like solid waste management, sports complex, irrigation, health centres in countries like Burundi, Vietnam, Cape Verde, Palestine.

(iii) Civil society involvement -

What is the importance of IBSA for India?

IBSA is a smart move by India.

MDG - millennium Dev. goals

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Why?
India is trying to regain the lost ground among the developing countries. Western countries do not have any negative attitude towards IBSA like that of NAM. NAM has become too big & it is practically impossible to get things done when members have so much contradictions. It can build India's soft power in Global South.

What are the prospects?
It is unfortunate that IBSA summit was due in New Delhi in 2012. Since then it has been continuously postponed. It is expected that summit shall be organised in 2017.

Should India give importance to IBSA?
India has to give importance to IBSA because the other two partners do not have anything against china.

What is china's approach towards IBSA?
China understands the geo-strategic implications. Initially china was demanding to convert IBSA into ChIBSA However, India has kept china intelligently out of IBSA. India has made it as a platform of Democracy.

What china did?
China has inducted South Africa in BRICS in 2010 despite the fact that South Africa's economy is no match in terms of size.
All the 3 IBSA countries are in BRICS. BRICS also has similar geopolitical agenda. & South-South cooperation

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IBSA or NAM. What should be prefered?
Both platforms are important. Both have their own relative merit. they don't supplement rather complement with each other.

Lecture 22
25/04/2017

BRICS

Is BRICS a challenge to US Hegemony?

What is BRICS?
BRICS is an idea which is still evolving. the acronym BRIC was coined by Jim O neil an economist associated with Goldman Sachs.
these countries were considered as emerging market. means showing fastest rate of economic growth.

It has been predicted that by the year 2050. the total GDP of these countries will surpass the total GDP of G7 countries.

BRICS gradually started evolving as a geopolitical platform. 1st BRICS summit took place at Yekaterinberg, Russia in 2009. BRICS countries started taking geo-political issues also. BRICS agenda is evolving. They take up issues like crisis in middle east, reforming the institutions of Global Governance specially IMF, WB, South-South cooperation, developement partnership with Latin America & Africa.

Importance of BRICS

(i) BRICS represent a huge market.
(ii) Raw Materials, Natural Resources, skilled manpower,
(iii) Russia & china are members of UNSC India is aspiring member even Brazil. they also represent major military power.

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Progress of BRICS

the rate of progress has not been encouraging the major achievements of BRICS countries are.

(i) New Developement Bank.

(ii) currency / contingency Reserve Arrangement.

Present Prospects-

Initially it was thought that BRICS will emerge a significant challenge to us Hegemony. However, at present the prospects are deem/dim*?

(i) It is said that 'Party is over'. as chinese economy is slowing down Russia & Brazil in recession. South Africa is also imminent crisis, there is a possibility of capital flight. At present India remains the only sweet spot.

(ii) BRICS is considered as a disjointed group. Intra-BRICS trade remains low Each BRICS Nation has more trade with USA and Europe in comparison ~~to~~ to trade among them.

(iii) BRICS is also known as Motley Crew (not harmonious) Because countries having diverse & even conflicting geo-strategic concerns. At present India-china relations are at their worst. It is said that BRICS lack Mortar (nothing to join them). In recent Goa summit of BRICS in 2016 neither china nor Russia supported India's stand w.r.t. Pakistan sponsored terrorism.

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Where should be India's priority ie. BRICS or IBSA?
India's priority should be towards IBSA as BRICS is a platform dominated by china.
According to the scholars the initial spark of the relationships is no more existing though it is too early to say that Divorce is on the cards.

India and Global South.

India Africa Relations:

India & Africa are not just linked by History & culture. they are also linked by Geography. Africa is a Mother continent. India got seperated by the continental drift. our destinies are also linked. We share more with Africa in terms of challenges & future prospects than the countries of the west. India & Africa today form an integrated geostrategic landscape. the magnitude of poverty, per capita income, diversity, ecological challenges. However, At the same time both India & Africa have demographic devident. More than 50% of population is in range of 19 to 35 age group. Africa was once considered as 'Dark continent'. In the words of former PM of Britain Tony Blair 'Africa is a scar' on the conscience of Humanity. However, Africa today is a continent of hope. Africa is in the state of revival, renewal, resurgence, renaissance.

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:Africa has 6 fastest growing economies in sub-Saharan region. Today, Africa attracts attention of countries like china, USA, Britain, France, Japan, Russia.

Importance of Africa for India-

(i) Trade -
(ii) Investment.
(iii) Energy security.
(iv) Food security.
(v) Security of our maritime trade
(vi) Africa is also becoming the Hub of Islamic fundamentalism, Trans-national terrorism, piracy, organised crimes.

→ Evolution of India Africa Relations.

(i) Historical Linkages.

(ii) In modern times, India & Africa has been connected by colonialism, racialism, Gandhi's view on Africa remain the guiding principle of India's approach towards Africa. In the words of Gandhi bto India & Africa there will be commerce of Ideas & services. & not the commerce of Raw Materials like Imperialist powers.

India's first PM Pandit Nehru held that India's independence remains incomplete without liberation of Africa

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According to former PM Manmohan Singh, India - Africa partnership is a genuine 'two ways street'.

Present PM Narendra Modi, suggest that India - Africa partnership go beyond strategic considerations. It is a relationship with strong emotional linkage. The relationship is based on History, culture, commerce & kinship. India's approach towards Africa cannot be transactional or Utilitarian. According to him, "from Gujrat to Durban we find common spirit, the spirit of vasudhaiv kutumbkam. & the spirit of Ubuntu."

According to PM Modi, India is focusing on energy security, maritime security & food security.

→ Phases of Evolution:

① Till 1960s

India has actively supported the cause of liberation of Africa.

② From 70s to 90s

India neglected Africa. India was hurt with the attitude of African countries towards 1962 war. There have been incidents of violence against Indian community in Africa & Indian diaspora was branded as Agents of Govt. of India.

India's focus was on managing relations with Pakistan and china. (China war)

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(3) From 1995 till Present.

Since 1995 we have started giving more importance to Africa. Even favourable climate started emerging as Democracy started coming to Africa, Business environment became better, African continent became more integrated.

India adopted new economic policy.

It is to be noted that the credit for renewed engagement with Africa goes to private sector in India.

IT companies _ pharmaceutical companies started looking towards the new market. Govt of India's response towards Africa has been too late.

Africa started gaining importance as in 21st century India's ambitions for UNSC permanent seat became more & more stronger. WTO, Climate change negotiations also required co-ordination with developing countries.

Recent steps taken by the Govt.

In the year 2008 Govt of India has organised 1st India- Africa summit and effort for Pan-African level ~~integration~~ interaction. It is to be noted that we are 8 years behind china. china started such interaction in the year 2000. china has launched forum on China-Africa co-operation. India followed the foot steps of china. since then there have been 3 summits. last summit took place in New Delhi. the last summit in 2015 all 54 countries participated out of which Heads of State or Govt. of

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40 countries also participated.

Present govt is giving lot of focus on strengthening relations with all countries of Africa. In the year 2016 itself President visited Ghana, Ivory Coast & Namibia in West Africa. Vice President visited Morocco & Tunisia in North Africa. PM Modi visited strategically most important countries of South & East Africa ie. Mozambique, South Africa, Tanzania, Kenya.

Indian Ocean has emerged a major security concern and above countries have a important position in context of India's maritime focus.

Besides above efforts some of the ongoing initiatives of Govt of India include -

(i) ITEC - India Technical Economic Co-operation

(ii) Team 9 Initiative ie India's partnership with 8 West African countries.

(iii) PAN-African e-network.

Approach of Govt of India is not extractive. We are focusing on the capacity building.

Africa has been the priority region for India's peace-keeping missions.

What are the challenges in India-Africa relationship?

(1) Competition from China.

China is the main competitor of India. China also has historical linkages with Africa. China has also supported freedom movements much before

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India, china has started trade & investment. Today, India-Africa bilateral trade stands at $72 bn whereas china-Africa trade stands at $200 bn. India-china rivalry is a favourite past time of western scholars to divert the attention. china is not the only rival India faces tough competition from other countries also like Brazil, USA, Russia.

According to Former PM of India Manmohan Singh there is no real rivalry & there is enough space for both to grow together. It is suggested that India should not imitate china. India should work on its own unique strength. India has upper hand in IT, pharmaceauticals & capacity building.

chinese competition is actually good for India. It is because china is there, India has also arrived at Africa.

(2) Despite Africa is a strategic concern India has so far not pronounced any Africa policy. At par with policies like look east or link west. china has for long provided china policy. If India brings its Africa policy it will bring more clarity to the countries as well as private sector about India's vision. there is a need to formulate a comprehensive policy involving all stake holders. ie. Govt, pvt. sector, Indian diaspora.

(3) According to Siddharth Varadrajan, India needs to strengthen its diplomatic presence.
- India needs to step up its engagement with Indian diaspora. So far our reach has been limited to the elite section. we have to utilise Indian diaspora at all levels.

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Govt should draw some redline for private sector. there have been instances of resentment against some Indian companies which have been accused of land grabbing.

Govt of India has to enforce corporate social Responsibility of private companies towards African society.

India should set up special purpose vehicles for fast delivery of projects.

According to Mahesh Sachdev, former high commissioner to Nigeria. India should go for SWOT analysis. India is also a developing country with limited resources. we cannot sustain freebies like china we have to make african countries stakeholder. We have to ensure that the funds granted to be used in a proper way. there is a huge scope for India in Health & education sector.

In recent years there have been the repeated incidents of Racial violence against african students & African community living in India specially in the capital. African diplomatic community has taken strong position against such acts. It is the responsibility of Govt of India to sensitise ~~to~~ local people & to deliver the speedy redressal of grievances. There is a need to promote African studies. Africa is too diverse it is very important to

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understand African culture, mindset, sensitivities, It is to be noted that India cannot deal with Africa in the way we deal with other countries Approach of Gandhi should be the guiding principles that it cannot be just a commerce. We have to remember that India Africa relation is a genuine two way street. During India-Africa forum summit PM Modi expressed his vision towards Africa. It is a partnership to help people to make choices.

- India-Latin America Relations:

Last Frontier of India's Foreign Policy.

As far as Latin America is concerned Geography is a barrier. The case of India Latin America is like Out of sight; out of mind. Geography is not a real barrier it is the psychology. Geography is also a barrier for china but China has already penetrated inside the market of Latin America. China has overwhelming presence in Latin America. There is a china town in all latin american countries. On the other hand India does not have even rudimentary in all Less latin American countries.

India latin America interaction so far-

The only place India was interacting was either UN General assembly or Plat-form of NAM. with the

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Exception of cuba we didn't had good relations with latin American countries.

Why?

latin America was suffering from domestic crisis there was lack of stability, law & order, too much domination of USA. Besides Indian economy was is inward looking.

After the end of cold war-

- On one hand political stability came to latin America. countries have shown descent economic growth. Private sector in India has taken lead specially IT companies, pharmaceuticals, companies involved in oil & gas as well as in edible oil. There has been significant trade b/w latin American countries & Indian state of Gujrat.

Why latin America is attractive for India?

latin American countries are themselves looking towards India. Inter American Developement Bank has come up with report 'India: latin America's next big thing' published in 2010.

What is the significance of the report?

there is a resentment against china in latin America. chinese practices are not eco friendly. China charges high rate of return. china does not revolve local manpower. china goes for land grabbing, China is establishing its colonies there is also a growth of Mafia in china towns. chinese have also taken over

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small businesses like departmental stores.

Hence, Latin American countries are looking towards India. India should grab the opportunity. Indian private sector has already created good image & a base Govt of India needs to promote private initiative.

Latin America has huge land mass with a small population of 600 mn. & a comparatively high Percapita income ie $ 11,000. It has reserves of oil & Gas, minerals.

What India requires?

The biggest challenge is connectivity. Still there is no direct flight. Govt of India has to give incentive to the ship companies trading with Latin America. India has to pay attention towards all countries rather than just remaining focused on Brazil. So far India has Prefential Trading Agreement with Chile as a country & Mercasur as trading block. We need to enter into PTA's & FTA's with countries & regional trading blocks. Still there are very limited high level visits b/w these regions. Pandit Nehru visited Mexico in 1961. Indira Gandhi visited 8 latin American countries in 1968. PM Modi visited for BRICS summit 2014 in Brazil & Mexico in 2016.

There is a need to promote latin American studies in Indian universities as well as Indian studies in Latin America.

Geography, Distance, Diversity, lack of historical, cultural, linguistic linkages adds to the complexity
An emerging area for co-operation is in bollywood. Many latin Americans are joining bollywood & Bollywood is also shifting towards latin American landscape.
India needs the support of Latin American countries for its Global Ambitions
In the year 2012 CELAC Pan latin American platformed organised its outreach summit in New Delhi. Since then institutionalisation of relations has started. India & Latin America have prepared a detailed programme of action.
Govt of India has also set up a special office for co-ordinating latin American affairs. India-Latin America trade has reached to the dimension of $ 100 bn in the year 2017 (China's trade $ 264 bn)
India's investment has become $20 bn. China's investment is $50 bn.
Recently India has got observer status to pacific alliance. A group of Mexico, Colombia, Peru & Chile.

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Non-Alignment as a Foreign Policy

Q. What is the relevance of Non-alignment as a foreign policy option?

What is Non-alignment?

India's contribution to the theory of International Politics & the practice.

Initially there was lack of clarity.

USA considered Non-alignment as immoral & India's opportunism. Soviet's were more suspicious and Stalin held that those who are not with us are against us. Sc

Scholars of International Politics compare Non-alignment with USA's foreign policy of isolationism.

The features of Non-alignment as a foreign policy became clear from time to time through Pandit Nehru's speeches. Nehru rejected that non-alignment as a isolationism. He asserted that India will be taking active role in international affairs.

Non-alignment is neither indifference, nor equi distance like Nehruvian secularism Non-alignment is 'principled distance'. India will take principled stand on the basis of Right & wrong rather than any prior commitments.

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Whether Non-alignment was a choice or compulsion?

Non alignment was a compulsion rather than choice.

why?

(i) India was democracy hence India could not have joined socialist block.

(ii) the proximity of communist giants made it dangerous choice to join the western block. Hence, the best way out was to remain no aligned, persue independent foreign policy. It was hoped that by staying non-aligned India can get aid from both the blocks.

Did non-alignment worked to India's advantage.

unfortunately not. India did get some aid from both the blocks but failed to secure its core national interest. ie. Territorial integrity.

whether India's was genuinely non-aligned.

From India's side India was genuinely non-aligned atleast during the time of pandit Nehru. But soviet's considered India's stand against them India's decision to join British commonwealth resulted into criticism of Nehru as Bourgeoise comprador on the other hand Americans always felt that India is tilted towards USSR.

later govts. in India didn't follow a genuine policy of Non-alignment. In 1971 India entered into Quasi-alliance.

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Was there a domestic consensus for non-alignm
According to C. Raja Mohan there has never been a domestic consesus. ~~Left~~ Rightiest prefered engagement with west & leftiest preferred engagement with soviets.

In 1990, congress also left all illusions toward Non-alignment. Rightiest never attracted after congress for all practicle purposes left Non-alignment as an option leftiest grabbed Non-alignment. Today leftiest emphasise on remaining- non-aligned. leftiest do not favour India joining USA. they prefer India's engagement with china & Russia.

According to C. Raja Mohan Non-alignment is being continued because we have not been able to invent any grand idea. However, Non-alignment has been rhetoric rather than article of faith for Indian elites. officially Indian policy makers prefer to use the term 'strategic Autonomy'. In recent years foreign policy experts have brought a policy document known as Non-alignment 2.0 document suggest that alliance is not an option for India. Non-alignment in present time should be persued in the form of 'multiple Alignment'. Multiple alignments will give give enough flexibility to manouver.

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United Nations (1)

lecture 23
26/04/2017

Q. Relevance of UN
Q. Areas of Reform.
Q. UNSC reforms
Q. International Court of Justice.

- Relevance of UN

"UN was created not to make heaven on this earth but to prevent it from becoming the hell".
— Dag Hammar sk Jold.

- Evaluation of UN

Evaluation of UN has to be seen in context of UN Goals and achievements.

→ Goals and objectives of UN-
The objectives are given in Preamble of UN charter-

(i) To save succeeding generations from the scourge of war.
(ii) To re-affirm faith in Fundamental Rights & Human dignity.
(iii) Strengthen conditions under which justice prevails & respect of International law is maintained.
(iv) Promote social progress & better standard of life in the interest of larger freedom.

→ Overall Assessment-
UN performance has not been satisfactory in any of the core objectives. However it is been said that 'Had UN not been there situation could have been worse'.

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→ opinions (2)

(1) Gareth Evans - Former Foreign Minister of Australia.

No other organisation embodies as many dreams yet so many frustations as UN. security council has been the prisoner of Great power manouvering, General Assembly as a theatre of empty rhetorics, economic & social council has become disfunctional & becoming increasingly irrelevant, Secretariat is a host of ineffici-ent individuals.

What is the relevance of UN?

though there is a dissatisfaction yet there is a recogni-tion that we need more UN rather than less UN as suggested by former UN secretory general Ban ki-moon

We are living in an age where no country including the singe super power is capable to adress the challenges on its own. Regarding UN it is said that had UN not been there we would have created it. Global Govern-ance has become a necessity today.

Can UN work?

that is the biggest question mark. UN remained parali-sed throughout the cold war because of east west conflict. End of cold war generated optimism but very soon world got devided once again. We can say that the more world has changed the more it has remained the same.

What is the situation today?

security council remains devided b/w P3 & P2.

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What is to be done?

(i) Abolish UN

(ii) Reform UN

No point abolishing. It becomes necessary to reform UN.

What are the prospects of reform?

very dim prospects. only recently UN has celebrated the 70th anniversery. UN General Assembly failed to develope consensus on the agenda of reforms.

What reforms are needed?

Reforms which enhance the efficiency, effectiveness representativeness, credibility & legitimacy.

What reforms are required?

(i) Reform UN Principles.

Art. 2 (7) does not permit UN intervention in the domestic affairs. UN principles are based on the principles of West phalian world order. Post cold war situation requires greater intervention in domestic affairs. UN intervenes on the basis of UN General assembly resolution. on the basis of responsibility to protect.

(ii) UN charter still carries the reference of 'enemy states' The reference of enemy states has become anachronistic. Today Germany, Japan are the contenders of the permanent seat in UNSC.

(iii) General Assembly.

Structural changes are not required yet there is a need for better co-ordination b/w General assembly & UNSC.

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(iv) Since UNSC remains in deadlock it has been suggested that UN general assembly should be given power to overright veto by special majority.

(v) Security council

Security council is the Nucleus of the UN system. It is the highest decision making body. It is the only body of UN having 'Teeth to bite'. Security council reform require:

(a) Transparency in the way it functions.

India's former representative Hardeep Puri in his recent book "Perilous intervention" the Security council & politics of chaos' mentioned the internal chaos in the decision making & present the case study of decision of responsibility to protect in Media.

(b) Veto Reforms:

(c) Membership reforms.

(vi) Trusteeship council.

The work of Trusteeship council is over long time back However, the body is still existing without any work. Either abolish trusteeship council or give new mandate. It can be given the task of governing 'Global commons'

(vi) Economic & Social Council.

This body has grown too big. It is become too disjointed There are many organisations of this body with overlapping mandate. There is a need to streamline ECOSOC.

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(vii) UN secretariat.

It requires right sizing of Bureaucracy insuring transparency & accountability. Presently there is a dominance of western countries in UN Bureaucracy. There is a need of equitable distribution.

(viii) Funding

UN is ill-equipped to full fill its obligations. On one hand resources are limited on the other hand countries do not ~~fail~~ pay their membership dues on-time. USA itself has been a frequent defaulter. It has been suggested that UN should have some independent source of revenue Eg. It can be authorised to impose tobin Tax. (tax on international financial transaction).

(ix) UN Peacekeeping.

Countries are loosing interest in UN Peace keeping. as peacekeeping operations are becoming more & more dangerous. There are disputes b/w the ~~troop~~ contributing countries & funds contributing countries. UN does not have standby forces. It has to depend on member countries.

Above areas of reforms are urgent. otherwise UN will not be able to full-fill its obligation.

What are the prospects?

Next to impossible.

Why?

Extremely rigid process of amendment.

→ Art. 108 of UN charter.

(i) Ressolution for amendment has to passed by 2/3rd members of UN General Assembly. subject to the condition none of the P5 members uses veto.

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once ressolution is passed it has to be ratified by the member countries as per their Domestic ratification process.

conclusion -

So long Nations will continue to look for promoting their Narrow National interest. Much needed reforms will not be possible & we will not be able to stop the earth becoming bell.

Is it UN's failure?

It is not UN's failure, it is our failure.

To quote former President of USA Truman (on the occassion of the Inauguration of UN).

"UN is a creation of member states, it is malleable to their wishes. If they wish it will succeed, otherwise it will become relic of the past. If we fail to fullfill our duties towards UN, we will be betraying all those who has sacrificed their lives that we are here creating this body."

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UNSC Reform & Case of India

(1)

→ Importance of UNSC.

→ What reforms are required?

(i) Transparency in the working.

(ii) Veto Reforms.

(i) Decision making in UNSC. & UNSC strength is

UNSC

Procedural	Substantive
↓	↓
Affirmative vote of any 9 members.	Affirmative vote of 9 out of 15 subject to the condition none of the P5 countries uses veto.

– P5 will decide either Procedural or substantive.

(ii) What is the problem with Veto?

the main reason for the failure of UN to act.

A single permanent member may stop UN action even when there is a overwhelming support for action in UN General Assembly.

Veto would create problem realised also even at the time of formation of UN. However, because of insistence of soviet union Veto was introduced.

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→ Suggestions

(i) Abolish veto.

(8) No permanent member will agree.

(ii) Restrict the use to be used only when country can show that Non-use will severely affects its core National interest.

(iii) Give General Assembly overriding powers over veto.

(iii) Membership Reforms.

There is need to expand the membership.

(i) When UN was formed at that time the total strength of UNSC was 5 permanent & 6 non-permanent members. At that time the strength of General Assembly was 51.

(ii) In 1963, 4 non-permanent members were added. That time the strength of General Assembly was 113. Since then no expansion. Present strength of UN is 19:

Palestine ↓ observer (not member of UNSC) ↓ member of UNESCO, ICC

Europe over represented, Asia under represented, Latin America & Africa not represented.

Much of UN actions are in 3rd world without adequate representation.

UNSC remains polarised & there is a need of members which can play the bridge building exercise.

→ Aspirants for Permanent seat in UNSC.

(i) G-4 (India, Japan, Brazil, Germany).

(ii) African Union – 2 members However there is a lack of consensus over the countries.

Ethiopia, Namibia, South Africa, Egypt.

large-L (iii) L69 Group – (42 countries of Africa, Asia, South America, Pacific, Caribbean.

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(iv) OIC - organisation of Islamic Countries.
has also proposed the representative of Muslim world as UN actions & most unstable region in middle east.

(9)

What is the problem?
Though countries agree on the need of reform & expansion of membership. Yet there is no consensus over-

(i) what should be the criteria or who deserves?
(ii) there is no consensus over the candidates.
(iii) there is a opposition of all aspirants by regional rivals. Pakistan, Mexico, Italy, South Korea. and other countries have formed coffee club against G4 countries.
(Total no. of members are 12.)
(iv) there is a lack of agreement over the procedure.

a (a) G4 countries want expansion by majority as required by Art. 108 of UN charter.
(b) Coffee club. have passed / brought 'uniting for consensus ressolution' According to which membership reforms has to be by consensus though there is no such requirement in UN charter. there is no consensus over the strength of reform council. No consensus whether new permanent members will be given veto or not.

Efforts for Reform -
Efforts are going on since 1992. UN members have also accepted following documents.

(1) strengthening UN: An agenda for further change presented by former secretory General Kofi Annan in 2002

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(ii) UN Millenium declaration, 2000
(iii) Report of high level panel presented by Secretary General on threats, challenges & change, 2004
(iv) larger freedom: towards development security & Human rights, 2005

- India and UNSC Reforms -

(i) It is considered as India's ultimate Diplomatic dream. Since, India has acquired Nuclear Weapons has become a major economic power. It has become one of the top agenda.

(ii) India's ambition is not new. India is having the ambition since beginning. Pandit Nehru wanted that India should get right-ful place in comity of Nations which it deserves. Indians Nurture the view that they are the representatives of one of the greatest civilisation, they have lot to offer the world.

* India's Journey & India's strategies -

(i) For the 1st time India made formal presentation of its case in 1972.

(ii) Serious efforts started since 1992.

USA wanted to share its burden. Hence, USA supported the candidature of Germany & Japan. The moment US supported their candidature India opposed. India held that the seat is not for sale. Country's contribution towards UN objective cannot be ignored. India has made immense contribution to UN Peace keeping

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→ Credintials of India according to GOI.

• country is suitable for any criteria.

(11)

(i) Population - 2nd largest

(ii) Size - 7th largest

(iii) Size of Economy - 7th largest

(iv) Contribution in UN Peace keeping.

(v) Great civilisation, Cultural Diversity, Toleration.

(vi) Functioning Democracy.

(vii) Professional Bureaucracy. Indian diplomats are adept in Global Affairs

(viii) Complexity of working of UNSC.

(ix) India has served as an non-permanent member as for seven time. Each time India got overwhelming support.

→ India's Strategies.

• India has tried various strategies:

(i) Go alone.

However, India realised that it may not get support of USA Hence India tried.

(ii) To form G4 Coalition.

However, strategy proved counter productive.

- Entry of Germany is difficult because europe is already over represented.
- China will agree for India but will not agree for Japan.

(iii) To satisfy coffee club G4 countries agreed. that they will not ask for veto for atleast 15 years.

(iv) African union passed Ezulwini consensus & African union held that it will not agree without veto.

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(v) India has also been coorking coith L&g groops.

(vi) India is toying to improve relations with P5 countries.

(12)

(vii) India is toying to promote developement partnership with developing countries.

(viii) India have acquired nuclear weapon.

(ix) India has 3rd largest Military in the coorld.

What are the prospects?

On 7th Nov. 2016 General Assembly has taken up the issue. However, it failed to arrive at any conclusion. The stand of P5 countries remained ambigious. USA has provided oral support. Russia & China's ~~dein~~ stand is ambiguous it appears that they may favour India but without veto. Russia's support is not as explicit as it used to be.

→ Views of scholars-

(1) Ramchandra Guha-

No need to be in the race of super stardom. Focus on internal developement.

(2) Kishor Manubhai-

India's position is like sisyphus carring boulder upto the hill just to see it falling down.

(3) C. Raja Mohan-

India should not allow itself to be bargained by western countries.

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④ Shamsaran.
Rather than these illusionary goals focus on building real strength.

⑤ Prof. Ramesh Thakur-
Non-co-operation with UN. let them realise the importance of India's contribution.

→ Current Stand-

As per Minister of external affairs, reform in UNSC remain top priority, chances are bright. China did not publicly opposed. & India will join with veto.

Note → Kofi Annan's formula.

A

15 + 9 new members = 24
↓
G4 + 2 African union (Permanent members)
+
3 Non-permanent members
↓
No veto.
↓
India at that time supported the formula.

B

15+9 new members
↓
8 semi-permanent for 4 year
+
1 Non-permanent
↓
No veto.
↓
Pakistan supports this formula.

• Assignment.

① International court of Justice. (ICJ)
② Compulsory Jurisdiction of ICJ & India. (Hindu-source)

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lecture 24
27/04/2017

International court of Justice (ICJ)
Only Body of UN which is directly inherited from League of Nations.
It is used to be called as Permanent court of Justice (PCJ). Justice.

→ Composition:
15 Judges, 1/3rd retire every 3 year,
Term of Judge - 9 years, eligible for re-election,
elected by UN General Assembly & UNSC from among the names proposed by member states. Idea is to give representation to all civilisations & legal system. It deals with the matter of fact or interpretation of any treaty does not entertain dispute of political nature.

→ Jurisdiction:

(i) Contentious Jurisdiction -
Since International law is voluntary ICJ can take up matters only with the consent of parties in dispute.

(ii) Advisory Jurisdiction -
It can give advice to all UN bodies including UNSC & General assembly.

(iii) Compulsory Jurisdiction -
If countries want they can adopt compulsory jurisdiction compulsory jurisdiction does not mean binding on countries to implement the verdict. It simply means prior consent of party in dispute is not required. In 1974, India accepted compulsory jurisdiction, however India does not accept compulsory jurisdiction in two situations:

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(i) If dispute involve in any of the commonwealth member or which has previously has been in commonwealth

(ii) In case dispute is related to a situation of Hostility or Armed conflicts. Against individual or any collective entity if it is taken in self defence.

WTO

History of WTO

WTO is one of the 3 pillars of liberal international Economic order conceptualised by USA. IMF, WB could come into existence but ITO could not come into existence & countries had to rely on set of treaties. known as GATT (General Agreement on After the end of cold war. It was possible to establish WTO. WTO started functioning from 1st Jan. 1995. It was agreed to create WTO after Uruguay rounds of talks. Present WTO agreements are based on Dunkel Draft. WTO was created in Marrakesh, Morocco. Headquarters are located in Geneva.

What factors led to the agreement on WTO?
In the decade of 1980s towards the end most of the countries outside the western world was facing financial crisis. International donor institutions like IMF forced countries to go for structural adjustments or shock therapies. It forced countries to go for LPG. Hence, it was natural for developing countries to become the part of WTO. International trade

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was growing & it became necessary to have an institutionalise structure to manage the volume of the trade. There was a need for regular & institutionalise interaction. There was a need of a body to formulate the principles of international trade with consent of all countries.

What was the promise of WTO for developing countries?

Developed countries suggested that the only way these countries can come out of poverty is through trade. Thus, trade rather than aid was proposed.

What is the logic of the ~~GB~~ Global Trade.

The theory of Global free trade is based on ricardo's theory of 'comparative Advantage'. Each country will develope its own comparative advantage Each country will have biggest possible market. It is the best utilisation of country's resources. More trade means more GDP, more GDP means more resources for alleviation of poverty. More business also means more employment.

Organisational Structure of WTO-

(i) Ministerial council represented by minister of commerce or economic affairs.

(ii) General council- executive body which does the ground work. represented by the Bureaucrats.

(iii) Trade Policy Review Board (TPRB)-
in WTO countries have to take binding commitments. TPRB is a watchdog body that reviews countries trading / Economic policies.

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(iv) Dispute settlement Body-

If any country is violating its commitments it can be dragged to the dispute settlement body.

→ WTO principles.

(*) The idea is to make International Trade not just free but fair. The idea is that it should be a win-win situation.

(i) Non-Discrimination.

- Most favoured Nation Status (MFN)
- National Treatment

→ To make trade fair.

(i) WTO provides for imposing counter veiling duties. If countries adopt trade distorting practices like Dumping.

(ii) WTO intends to reduce subsidies which are considered as trade distorting.

(iii) As a matter of fairness WTO accept the principle of differential treatment.

(ii) Predictibility.

To ensure predictibility countries have to take binding commitments.

→ Whether WTO is in the interest of developing countries?

In theory.

WTO is in the interest of ~~all~~ developing countries.

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→ Reasons-

(i) Multi-lateralism is always favourable to weaker countries because they cannot get what they want in bilateral negotiations.

(ii) WTO in principle accept differential treatment.

(iii) In WTO decisions are taken by consensus, every country has veto power. Even the smallest country can stop agreement if it considers agreement as counter productive.

(iv) WTO provides an opportunity for capacity building of developing countries.

(v) WTO ensures that they get the widest possible market

In Practice-

WTO policies have not benefited developing countries in general. one of the worst consequence of WTO policies is in agriculture sector. Not only it has resulted into stagnation in Agricultural growth. It has also impacted food security.

In theory, every country has veto power, but in real Practice developed countries have adopted various techniques so that countries of south fall in their line. (Green Room Diplomacy).

*WTO's dispute settlement body-

Uptill now none of the African countries have utilised the platform. The entire mechanism is extremely costly.

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African countries are even closing their offices in Geneva.

The negative consequences of WTO policies have been realised within few years of WTO's existence. Hence, there was wide spread protest against WTO. It became difficult to hold WTO meetings. Ultimately, developed countries were forced to adopt Doha Development Agenda.

What is Doha Development Agenda?

New round of talks. It was agreed that development rather than trade will be priority. Doha Development Agenda includes wide range of issues of both developed & developing countries. It was accepted that agreements will be accepted in the form of single undertaking.

What has been the approach of developed countries?

They have been trying that Doha Development Agenda collapses & new rounds of talks start. For the first time in Nairobi meeting Declaration it was mentioned that some member countries think that Doha development agenda has lost its relevance.

→ WTO Agreements & the position of the countries of North & South & India in particular-

Difference in WTO & GATT

GATT was just covering trade in goods. WTO covers many new issues such as trade in Agriculture, services, IPRs, Investment.

WTO agreements are evolving & the level of liberalisation in each sector vary.

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→ North- South debate on Agriculture?

Agreement on Agriculture.

Market Access | Export subsidies | Domestic subsidie

Agriculture is most protected & most politicised in both North and south. there is a big difference in the attitude of the countries of south & North. Agriculture is the back bone of the economies in south. Agriculture is also a source for employment for large section of population. Agriculture is not just a source of livelihood it is a way of life. Developing countries cannot think about Agriculture just from commercial perspective. in countries of North just 4% of the population is dependent on Agriculture. whereas around 70% of population in countries of south is dependent on Agriculture. the share of Agriculture in GDP of countries of North is 3% whereas in south it is around 30%. In case of India it is 14%. the countries of North have technological superiority they are placed in favourable climatic conditions. In developing countries most of the producers are subsistence farmers whereas in developed countries they are doing farming on commercial scale. Developed countries continued to provide huge domestic subsidies to their farmers. when the farmers of developing countries are exposed to international competition they are unable to compete.

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Farmers have been exposed to the fluctuations of the prices of Agricultural commodities in International market. since developing countries have joined WTO the no. of incidents of farmers suicides have increased. WTO policies have affected food security in many ways. Many farmers shifted farom food crops to cash crops. there is restriction on PDS system.

→ Market Access -

It means lowering tariffs & removing non-tariff barriers. Western countries continue to impose non-tariff barriers (sanitory & phyto-sanitory measures).

In market access there is a major dispute b/w India and USA. India is defensive, USA is offensive. They have failed to arrive at agreement over special Safeguard Mechanism (SSM) & special Products (SP).

- countries can trigger SSM in case of import search to protect domestic producers. There is a disagreement as to when it can be done. for India small amount of surge is enough. But for USA it should be substantial amount.

SP→ Every country can exclude some products from liberalisation if the product has some linkage with any special programme like Rural Development, Employment etc. According to USA maximum no. of products to 5-7. India wants to keep more & more products.

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→ Export Subsidies.

In Nairobi Package it was agreed that developed countries will completely end export subsidies by 1st Jan. 2016 & developing countries will eliminate by 2018. Developing countries can continue to give subsidy to compensate marketing & transportation cost till 2023.

→ Domestic Subsidies.

(i) Green Box (ii) Blue Box (iii) Amber Box.

(i) Green Box -

No Restriction.

Why? not considered as trade distorting. Normally given for research & development.

(ii) Blue Box.

They are part of Amber Box. But these subsidies actually decreased Agricultural production Eg. given for Animal Husbandry.

(iii) Amber Box -

Most controversial. These subsidies are directly those which enhance the production

→ De Minimus

Developed countries can give subsidy but it should not be more than 5% of the total value of Agricultural produce in a year & developing countries can give not more than 10%. the price index is prices prevailing in 1986-88. WTO norms have impacted PDS system in developing countries including India. India have to suspend programs like food for work. It is our compulsion under WTO that we cannot distribute the surplus grain or bring in market

- Developed countries cannot give more than 5% subsidy of total value of their produce.
- Developing countries cannot give more than 10% subsidy of total value of their produce.
- Principle of de minimis - least subsidy.

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even when grains are getting rotten in warehouses and mass Hunger is prevailing. Developed countries accuse developing countries for dumping food grains. they also consider it as against free trade.

India's PDS system comes under crisis because govt. gives MSP as an incentive to the farmers to produce this incentive is to be covered under the amount which can be given under Amber Box. Western countries solution is direct cash transfer rather than relying on the corrupt PDS system. Importing cheaper food grains, Presently Peace Clause have been extended till final solution does not come. Here also main dispute is b/w India and USA.

Lecture 25

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→ What are the India's concerns on food security.

(i) Either give complete exemption to the food security programme of developing countries.

(ii) Make such programs to come under Green Box.

(iii) Revise the base price from present 86-88 so that inflation in the food items can be taken care of.

→ In WTO in agricultural negotiations there are 3 major groups.

(i) Cairns group.
It is a group of export (Agricultural) countries like Australia, New Zealand, Brazil.

(ii) G 20 Group -
Group of developing countries.

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(iii) G-20 Groups.

This group is negotiating public stock holding programs.

- Non Agricultural Market Access (NAMA).

— Main group is NAMA 11

→ countries of North

North has already liberalised in terms of tariff reduction. North expects countries of south to reduce tariffs.

Countries of south considers customs duties as a source for financing developement. Associated with NAMA is trade facilitation agreement in goods. Developing countries view is that on one hand their revenue collection is declining on the other hand they have to make additional expenditure on Building infrastructure.

According to developing countries, developed countries have reduced tariff barriers yet they impose Non-tariff barriers. Hence, it is difficult to expend the export. There has been disagreement on the formula. as a part of July package in 2005, Hong kong countries have agreed for Swiss formula for tariff reduction.

- Service Sector-

It is voluntary in nature. Means each country will do according to its pace.

→ Bottom up approach

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→ concept of positive list:

→ Negotiations are happening on 4 pillars or modes:

Mode I - those areas where product is consumed in importing country. India has interest in mode I

Mode II - Eg. consumption Abroad Eg. Tourism. developed countries are interested in Mode II

Mode III - establishing commercial presence like Insurance / Banking sector. It is a priority of developed countries.

Mode IV - Movement of natural persons. India is agressive about Mode IV. Initially developing countries were reluctant but developing countries opened mode II & III sufficiently. However, developed countries are protective. India has proposed trade facilitation Agreement in service sector. This will result into the ease of movement it will bring predictability in country's visa policies. India is also planning to take visa policy of Trump Administration to WTO's dispute settlement body.

- IPR issues -

For the 1st time IPR issue were included in trade talks in Dunkel Draft. 1995 agreements proved counter productive for developing countries specially in Health sector. It has created crisis of public health specially in African countries. Ultimately under Doha round of talks countries of north were forced to accept compulsory licensing in the interest of public health.

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Now, countries of North want to roll back the compulsory licensing provision. They want strict norms. They want that compulsory licensing should be limited to the domestic market & should not be used for exporting. African countries have a serious concern because most of them do not have infra-structure & expertise.

Besides IPR, geographical indicators have also been an area of conflict. Western countries in general & US companies in particular have been quick to register for geographical indicators. India developed dispute with USA on Basmati Rice, Neem, Haldi.

There is also a big gap b/w North & south w.r.t. investment policies. The most contentious issues are dispute settlement, domestic requirement etc.

Where WTO is moving ?

There is a scepticism towards the future of multilateral trade talks for various reasons.

(i) Policies of USA

Whether Obama Administration or Trump Administration both tried to undermine WTO. Obama Administration launched Trans-Pacific Partnership (TPP), Trans-Atlantic Trade & Investment Partnership (TTIP) b/w US & EU. In case these mega trade blocks come into existence it will undermine WTO.

Trump policies are openly protectionist.

(ii) Emergence of various regional trading blocks.

Trading blocks are protectionists. Trading blocks also go against principle of non-discrimination as member countries gives preference to members of block.

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(iii) Global economy is also not in a good shape. Hence capacity to offer ~~consensus~~ concessions have declined.

(iv) China's policies are also free trade regime. China's Policies are one of the factor for USA's protectionism.

(v) Since 2001, Doha talks are going on without any outcome. For the first time in Nairobi summit declaration. countries have accepted that Doha round of talks have out lived the importance/significance. Western countries have proposed WTO 2.0. US trade representative suggest to go for 'pragmatic multilateralism'. countries do not want to continue with single undertaking. Western countries are not inclined to adress the concerns of developing countries rather they are pushing forward new issues like E commerce, IT agreement-2 which will reduce Tariffs on consumer items & electronic goods. India is also formulating its agenda for upcoming meeting at ~~Buen~~ Buenos Aires Argentina

→ India's Priorities -

(i) special safeguard Mechanisms.

(ii) Permanent solution for food security

(iii) Trade Facilitation Agreement in services.

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IMF

Q. What are India's Arguements against IMF & what type of reforms are required in IMF.

- What is the purpose of IMF?

It is a pillar of liberal international Economic order. IMF provides loans to the countries facing BOP crisis. the other functions of IMF include - surveillance of currency fluctuation or Macro-economic stability.

Now, IMF has also started providing long term loans to the developing countries to adress the poverty.

→ IMF has following facilities -

(i) Stand by arrangement.
For short term crisis.

(ii) Extended Fund Facility.
some countries may not be able to repay the debt without re-structuring their economies. Hence, IMF provides long term loan.

(iii) Supplementary Resource Facility.
special facility in case there is a sudden flight of capital.

(iv) Poverty & Growth Facility.
Funds are given to low income countries or poverty reduction programme.

(v) European Financial stabilisation Facility -
Recently created to adress sovereign debt crisis in Europe.

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What are the grievances of developing countries?

IMF impacts the sovereignty.

Why?

When countries approach for funds IMF imposes conditionalities. Conditionalities are such that they force countries to go for such economic reforms which developed countries want.

What are other grievances of developing countries?

There is a concept of weighted voting in IMF, country's vote share depends on country's quota or subscription.

What is the basis of quota?

When any country join IMF (Present strength 180) it is assigned quota in proportion to the relative weight in global economy.

(i) GDP of the country.
(ii) openness to trade
(iii) Volume of current A/c transaction.
(iv) level of official reserves.

Even if country wants to increase the subscription so that its voting share increases. country cannot do on its own. For any decision on substantive matters 85% of the total votes are required. Developed countries (G7) alone have a share of more than 50%. USA's share is around 17% it means nothing can happen without USA's consent.

Western countries impose conditionalities even for increasing subscription. country has to open its economy.

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It is to be noted that not just for developing countries there has been an urgent requirement to increase IMF fund.

Why?

In recent years Global Trade has increased. More countries approach IMF more frequently. IMF does not have sufficient resources. IMF lacked resources to help European countries facing sovereign debt crisis. They were bailed out with the help of special fund facility created by India & China.

Even when countries are willing to contribute USA was reluctant to reform. Only in 2010 at G20 summit at Seol* developed countries agreed quota of BRICS countries Today china is the 2nd largest economy but China's vote share is 3.8%

→ IMF organisation.

Highest body is Board of Governors. All countries are represented either Finance Ministers or Governors of central Bank.

Board of Executive Directors - total 24 executive directors. Five developed countries can choose their own executive directors on the basis of their relative vote share. Rest of the developing countries have to share their Executive Directors. Recently Russia, China & Saudi Arabia also got opportunity but rest of the members have to share with 16 directors.

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Because of the vote share G7 countries have ensured that managing director of IMF will always be an European & that of World Bank will be American.

Status of the Reforms-

All countries including USA had accepted the reforms. But reforms have not been implemented upto till now since 2010. If reforms are implemented there will be a relative decline in voteshare of USA. ie. from 16.7% to 16.5%. It will result into increase in voteshare of BRICS countries eg. china's share will increase from 3.8% to 6% china will be having third largest voteshare after US & Japan.

Marginal increase in India's vote share from 2.3% to 2.6%. BRICS countries will be the top 10 members. There will also be relative decline of countries from Europe & Gulf.

It has been agreed that no country will have a privilege to have its own executive director. All executive directors will be elected.

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World Bank.

→ World Bank comprise of 5 institutions.

(i) IBRD

(ii) International Development Assistance

(iii) IFC - International Finance Corporation.

(iv) MIGA - Multilateral Investment Guarantee Agency

(v) ICSID - International centre for settlement of Investment Disputes.

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European Union -

Q. Discuss the challenges faced by EU & what are the future prospects.

Q. Discuss the nature of integration process in EU and compare EU with ASEAN. which is the better Model of integration.

- What is EU?

It is a regional organisation of 28-1 countries (European) so far the most advanced example of Regional integration. EU has been a source of inspiration & learning for other regional organisations. EU is a very complicated body with various type of organisations. International & supra- national.

- Source of Inspiration.

Immanuel Kant. who talked about perpetual peace. Victor Hugo in his speech in 1885 at Paris congress he held that he is sure that a day will come when Arms will fall off on the grounds & coar will become Absurd. It is said that he has planted a seed which has become tree. There is a superstition that EU's future & the future of the tree is interlinked.

- Founding Father's of EU -

Robert Schuman - French foreign Minister
Jean Munnet - French statesmen.

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- Theoritical Basis-
Functionalism for Peace by Rees Pieces.
Liberal Institutionalism, Economic interdependence, Sociological liberalism & pluralistic theory of sovereignty.

→ EU integration can be understoon at two levels.
(i) Expansion of EU (Geographical).
(ii) Deepening of EU (EU treaties)

It is believed that USA was also a push factor for EU to consolidate European Nations against expansion of communism

- EU Treaties.

(1) 1952 - 6 European countries formed European Coal & Steel community.
There is a symbolic importance of coal & steel.
The materials used for manufacturing arms will be used for building permanent peace in Europe.
France, Italy, Germany, Netherland, Belgium, Luxumberg are core EU countries.

(2) 1957 - Treaty of Rome.
Outcome - Establishment of European economic community.

(3) 1987 - Single European Act (SEA).
It resulted into establishment of European common market.

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④ 1993 - Maastricht Treaty

Agreement to establish common currency.

Since then organisation is known as EU ie. Monetory union.

EU countries wanted to create a single constitution However, proposal was rejected in referendums in Ireland, Denmark & France.

⑤ 2007 - Treaty of Lisbon

So far this is the last treaty & it has taken EU integration to a new level. Lisbon treaty has extended qualified veto over most of the issues. (majority of the countries representing majority of population. Lisbon treaty has also increased the powers of European Parliament. It has strengthened EU identity. It has established EU's common foreign & security policy. It provides for the post of high representative for the purpose. It has also introduced EU charter of Human Rights.

- EU Institutions -

(i) European council highest body known as EU summits where EU Heads of the state meets. They meet several times in a year.

(ii) Council of European union (Ministerial council).

(iii) European commission

It is a body representing EU. It is also an executive body to implement EU decisions.

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(iv) European Parliament -
Directly elected by proportional representation. Different countries have seats in accordance to the population. Total No. of seats are 791. Elections is not on state lines but on Party lines. In the last election the representation of Rightiest & Leftiest Parties have increased in European Parliament.

- EU's Geographical Expansion -

(i) In 1952 Six countries.
(ii) In 1973 – 1st expansion. when UK, Ireland & Denmark joined. These countries specially UK & Denmark are known as 'Europhobic Nations'.
(iii) In 1981 - Greece joined.
(iv) In 1986 - Portugal & spain joined.
(v) In 1995 - Austria, Finland, sweden joined.
(vi) In 2004 - Largest expansion when former ~~East~~ communist countries joined. Poland, Istonia, ~~Cyp~~ Hungary, Czech Republic, Utmania, Latvia, Slovenia, Slovekia. Two more countries - Malta, Cyprus joined.
(vii) In 2007 - Bulgaria & Romania joined.
(viii) In 2013 - Croatia joined.

→ Future candidates.
- Ukraine in 2020
- Bosnia, Iceland

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Copen Hagen Criteria.-

EU's expansion has always been controversial.
EU uses expansion for political purposes. For membership country must full fill the criteria.

(i) It must be a European country.

(ii) Functioning market economy

(iii) Functioning of Democracy, Human Rights & Protection of minorities.

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EU has been criticised for using membership criteria to expand Neo. liberal economic model.

As EU enlarges its complications increase
case of Turkey.

For long Turkey has been trying for EU membership However, EU has not supported Turkey. After disappointment with ~~Turkey~~ EU Turkey has shifted towards Islamic world.

Why EU is against Turkey?

Turkey is predominantly Islamic whereas EU wants to retain itself as block of christian countries.

EU countries want to keep Turkey as a Buffer zone b/w Islamic world & Europe for security reasons.

EU countries have open Border. Turkey has been pro-US. EU countries did not want another Britain.

since EU has adopted Lisbon Treaty which provides for qualified majority Turkey will be the 2nd largest country in terms of population. It will challenge Germany's Hegemony in EU.

— Dispute b/w Cyprus & Turkey — check online

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challenges EU is facing-

Today EU is facing huge challenges internally as well as externally. Regional integration at such a level will never be a challenge free task. As EU expands, the process of integration comes under challenge. EU has never been as harmonious as it appears to be. there are many fault lines.

(i) Europhobic nations Vs. Europhilic Nations.

France Germany Belgium, Netherlands have been Europhilic countries. They created EU with the primary objective of ensuring peace. on the other hand countries like Britain & Denmark have been Europhobic nations. They joined organisation to take the benefits. In comparison to EU countries there is greater strategic conversions with USA. Britain & Denmark have not joined all EU treaties. they have gone for 'opt out clauses'.

(ii) Core countries Vs Peripheral countries.

Britain, France, Germany, Austria, Finland, Sweden are known as strong economies. whereas, southern countries like Greece, Portugal, Spain do not have strong economic performance. The countries of Eastern Europe added further complications. In order to maintain the equal standards of life advanced economies have to pay for the benefit of peripheral economies. Hence, people in core countries are often not in favour of further enlargement because it increase their burden.

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(iii) Old Europe Vs New Europe:

The countries which have joined since 2004 do not have strong democratic culture & similar level of commitment for values like Human Rights like that of old Europe. similarly new countries do not give that much importance to EU integration as the orginal countries. New European countries are closer to USA Their approach towards Russia is different in comparison to Germany & France. They have more grievances towards Russia & do not support such measures which aim at improving Russia Europe relations.

(iv) North Europe Vs South Europe.

New fault line has emerged because of refugee & migration crisis. Countries of southern Europe on one hand are facing economic crisis on the other hand they have to bear the burden of refugees. Southern countries are reluctant to accept refugees whereas Germany has maintained the posture of greater sympathy towards refugees. As per doubling regulation the responsibility of refugee is on first country they enter. southern countries are already facing economic crisis. Refugee crisis have added to the burden. southern countries accuse Germany, Sweden because they are looking at refugees & immigrants as cheaper labour-force.

EU is facing additional challenges since the onset of sovereign debt crisis. The sovereign debt crisis not

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only increase inter state & intra state dispute but has also put a question mark on the future of EU.

What are the indications that EU is in crisis?

The constituency supporting 'Ever closer union' is becoming weak. Whereas those who are against EU are becoming strong. In recent elections in Netherland Geert Wilder's Anti-European Freedom Party has got majority. It may happen that Anti-EU leader Marine Le Pen of National Front may win the 2nd run-off elections. Elections will take place in Germany in September & a huge possibility that Martin Schulz anti-EU party ~~Alternative for~~ social democratic party of Germany may win. Elections are due in Italy in 2018. and the two leading parties have called for a referendum on the membership in EU. There has been increase in the rightiests (Nationalists) as well as leftiests (Against Neo-liberal economic order) in European Parliament.

(i) Alternative For Germany party Right wing Euro-sceptic – Frauke Petry (leader).

(ii) Martin Shulz – Social Democratic party of Germany.

(iii) Netherland – Peoples Party for Freedom & Democracy Mark Ruttle (leader).

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Conclusion:

Liberal parties are in decline.

→ Why there is a growth of leftist & Rightist Parties

We can link the rise of these parties to the economic crisis which European countries are facing. We can call crisis are sovereign Debt crisis. the biggest issue is future of Eurozone. There is a huge possibility of Greekexit which will be a bigger blow than Brexit.*

- What is Eurozone?

19 European countries have common currency.

Advantage of common currency?

It is better for trade. It is also attractive in the perspective of Investment.

Problems-

In case country faces BOP crisis it does not have option of currency devaluation to promote export.

- convergence criteria.

In order to become the member of Eurozone aspiring country has to meet convergence criteria & has to follow the criteria even after becoming the member.

(i) Inflation should be low.

It should not be more than 1.5% of the 3 EU countries with the lowest inflation rate.

(ii) Public Debt should not be more than 60% of GDP (Greece Public Debt was more than 300% of GDP).

Britain = no eurozone; Greece = part of Eurozone.

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(iii) Budgetory deficit has to be below 3% of GDP.

Is there any exit clause from Eurozone?

There is no exit clause.

Why?

(i) countries never expected that such situation may arise if exit clause is provided it will be easy for countries to leave. This will impact the stability & investor's confidence.

Is there any bail out mechanism for the countries facing BOP crisis?

Within EU & for Eurozone countries no such provision has been provided to ensure fiscal deficit.

It is for this reason there was lot of delay in bailing out the Greece which not only made situation worse in Greece but also crisis became contagious.

Hence, EU countries have established financial stability mechanism facility at IMF to bail out the countries in crisis.

- Eurozone crisis

It has created new fault lines.

(i) there has been a big questionmark on intentions of Germany.

(ii) Greece accuse Germany for the situation as Germany's policies has resulted into the imbalance. Germany became net exporter & these countries became Net importers.

(iii) According to Greece, Germany should have taken measures to adress the imbalance.

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Germans accuse these countries for following extravagant policies:

(i) Germans have to bear the burden.

(ii) For Germany Austarity measures is a solution.

(iii) There is a huge opposition of Austerity measures impo-sed by Germany.

(iv) the Approach of Present President of France has been growth centric.

- Besides above reasons one basic flaw of Eurozone was that countries formed monetory union without fiscal & economic union.

Germany has proposed 6 pack policy (Austerity measures & strong surveillance.

European union has accepted semester concept to streamline & co-ordinate economic policies. countries have to follow EU guidelines while preparing budget. They have to get approval of EU before introducing budget.

→ Future Prospects:

Despite EU efforts the situation of Greece is not improving. If Greece leaves Eurozone it will be a big challenge to this entire project.

→ External challenges -

(i) Refugee Crisis

It has resulted into strengthening of Border control & temporary rolling back from ~~Schengen~~* Area Schengen

* refugee = due to fear of persecution ground : migration = economic

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(ii) Transnational Terrorism.

(iii) Geo-strategic challenge by Russia.

(iv) Protectionists policies of Trump Administration

(v) Protectionists policies of china & India.

- short Note on Brexit.

Britain was never for stronger Europe. Britain had no ideological commitments towards Europe in terms of peace. Britain joined EU when it thought it is beneficial. As EU is expanding, EU has come under Eurozone crisis major countries like Germany, France & Britain have to make contributions.

According to the supporters of Exit, Britain has been paying huge membership fees which offsets the advantage.

Immigrant workers from EU countries have taken up jobs of natives.

Country has to spend on the social security of immigrants.

Hence, for above reasons People supported Brexit.

As such there were many benefits to Britain it had huge market. Britain also became the major centre for investment. Britain is also having the advantage of cheap labour.

→ What will be the consequences of Brexit for India.

(i) There is a possibility that Rupee will become weaker as pound will go down Relative value of US dollar will go up.

(ii) There is a possibility of oil imports in India becoming costly.

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(iii) there is a possibility of rise in the price of the gold

(iv) It will impact indian companies because Britain has been the gateway to Indian companies to enter into Europe.

(v) It is also believed that Britain's Economic interdependence on India may increase.
India may get more British investment.

(vi) operation cost of Indian companies may increase as they have to open centres in EU countries.

(vii) there may be greater compulsion on India to enter into FTA with EU

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ASEAN

Introduction -

Most successful regional organisation of developing countries. ASEAN's integration is inspired by EU integration. ASEAN has learned from EU's mistake. In some ways ASEAN is ahead of EU as ASEAN has its own constitution whereas EU has to manage with set of treaties. one major difference of the approach of EO is supranational. Whereas ASEAN goes for ASEAN way. ASEAN way is based on the principles similar to Panchsheel ie. Non-interference in domestic affairs, ASEAN has been criticised by western countries be cause of neglect of Human Rights. ASEAN is changing. Now, ASEAN countries also have charter on Human Rights. However in practicle sense ASEAN does not have any effective approach towards Human Rights. One of the biggest challenge for ASEAN countries is Rohingya Crisis in Myanmar. Though ASEAN is one of the most dynamic economic block at preseot. However, economic dynamism depends on the stability in Asia Pacific Region. There is a lack of consensus among ASEAN countries w.r.t china. Laos & Combodia are more pro-china countries. Philippines is also becoming pro-china.

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CLMB

Indonesia is non-aligned. There is a regional imbala-nce among ASEAN countries. Combodia, Laon, Myan-mar & Vietnam (CLMB) countries are least develo-ped countries in ASEAN. There is a political instabi-lity in ASEAN. Eg. ~~Highla~~ Thailand. Each country has its own Domestic challenges. All border disputes have not ended. Despite above challenges ASEAN can be considered a successful model. The biggest achievement of ASEAN countries is that ASEAN is nuclear weapon free zone. ASEAN is economi-cally integrated. ASEAN is not only contributing for peace & stability among member countries but also in Asia as a continent. ASEAN has built security & economic Architecture like ASEAN Regional Forum the only security platform in Asia which provides opportunity for dialogue to arch rival countries like India & Pakistan, North Korea & South Korea.

Milestones in ASEAN

(i) Formed in 1967 by Bankok declaration. Original members were 5 ie. Singapore, Malay-sia, Indonesia, Thailand, Phillipines. Later on Bru-nei, & CLMB ie. Combodia, Laos, Myanmar, Vietnam countries joined

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(ii) 1971 - countries declared @ ASEAN as zone of peace freedship & Neutrality. (ZOPFAN).

(iii) 1976- Bali concord for social developpment in ASEAN Region.

(iv) 1976 - Treaty of Amity & co-operation (TAC)

(v) 1977 - ASEAN Profesential Trading Agreement (PTA) Note- South Asian Preferential Trading Agreement (SAPTA), 1997

(vi) 1992 - ASEAN Free Trade Agreement.

In SAARC countries agreed for SAPTA at islamaa- bad summit in 2004 cobich coas sopposed to come into existence in 2016.

(vii) 1994 - ASEAN Regional Forum for Security Dialogue

(ix) 1995 - South- East Asia Nuclear weapon free zone.

(x) 1995 - ASEAN Free Trade Agreement in services.

(xi) 1997 - ASEAN vision 2020. They completed the target in 2015 only. They adopted new vision.

(xii) 1999 - ASEAN Free Trade Agreement in Investment.

(xiii) 2007 - ASEAN charter

(xiv) Dec. 2015 - ASEAN declared itself as security community (concert of Nations) & sharing & caring society.

ASEAN leaders have 2 summits in a year. SAARC 1 summit after every 3 years.

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→ ASEAN is a community with 3 pillars:
(i) Economic
(ii) Political & Security.
(iii) Social cultural:

India & ASEAN

Significance of ASEAN for India.

Look East/ Act east is one of the most significant initiative of Govt of India. ASEAN is the gateway for India's integration in Asia Pacific. ASEAN is the nucleus in the region. ASEAN is a major force for building security architecture in the region Initially India overlooked ASEAN considering it as pro-US block. With the adoption of new economic policy, disappointing situation in South Asia, India had to look towards extended neighbourhood. ASEAN was an obvious choice considering Asia Pacific Emerging as the centre of gravity of world economy.

In 1992, India initiated its integration with ASEAN India became sectoral Dialogue partner. same year Pakistan also became sectoral Dialogue Partner. Pakistan is a still sectoral dialogue partner but India have moved ahead.

1996 - within 4 yrs. India became full dialogue partner.

2002 - India became summit level partner.

2012 - India-ASEAN became strategic partners.

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ASEAN has incorporated India in all regional initiatives Eg ASEAN regional forum, East Asia Summit, Asian Defence Minister Meet + (plus) & Regional comprehensive (RCEP).

India ASEAN trade have also gone up. India-ASEAN trade was 9.4 bn $ in 1990. It is touching around $ 200 bn. at present (Target for 2020) India ASEAN have entered into FTA in 2010. So far India's only FTA with the regional organisation. In 2015 FTA in services as a result Balance of Trade can come in favour of India. India & ASEAN are working together for the development of Least Developed Countries in ASEAN (CLMV countries).

- India's Look East Policy-

considered as most successful initiative from the perspective of India. Look East Policy was inaugurated by PM. Narsimharao.

Why Look East?

(i) Collapse of USSR forced India to look for new friends. New economic policy required India to trade. SAARC economies have been protectionist. Hence, geographically India had to look East.

(ii) The changing strategic Environment because of rising china also forced India & ASEAN countries to come together.

(iii) Improvement in India US relations created an environment for better integration.

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Geographical proximity, cultural & Historical links.

→ What is look East policy?

look East is an evolving concept.

① Look East - Phase I
Under Narsimharao Govt. Focus was on economic diplomacy & ASEAN as priority region.

② Look East - Phase II
Under vajpayee Govt.

- Look East started gaining strategic dimension along with economic.
- Focus shifted beyond ASEAN & to go for improvement in the relations even at Bilateral level.
- Vajpayee's policy had domestic dimension also known as look East through North East.
- North East to be integrated with Asia's most dynamic region.
- Govt. of India entered into defence partnerships with countries like Vietnam, Malaysia.

● India's Act East Policy

Act East Policy was announced at India. ASEAN Summit in Myanmar in 2014. Minister of External Affairs suggested that the focus of Act East shall be on 3 Cs - culture, commerce & connectivity.
Ministry of External Affairs has published notification on Act east on 23rd Dec. 2015 in Press Info Bureau (PIB).

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It has clarified the objectives of Act east policy. It has expanded the scope from south East Asia to Asia pacific. In look East Policy the focus was on south East Asia but in Act East Policy the focus is on North East Asia after consolidation of relations in South East Asia. PM has strengthened strategic Partnership with Japan & South Korea. The other focused countries have been mongolia, Vietnam, Singapore. Even India had interaction with the isolated North korea (India recieved North Korean Foreign Minister.

(ii) Another Distinguishing feature of Act East Policy is primary focus is strategic. India has strengthened defence & strategic partnership with Singapore, Japan, South Korea.

In Act East Policy special emphasis ~~on~~ is on maritime security, India is taking assertive stand even in case of South China sea. India has instituted maritime dialogue with USA entered into LEMOA with USA. India- Japan - USA are going for regular Naval exercises.

According to the document of ministry of External Affairs Act East Policy will promote economic, cooperation cultural ties & strengthen strategic relations with countries of Asia pacific.

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development of North East is also the priority. India will step up its bilateral sub-regional multi-lateral engagements.

Act East focus on infrastructure development, connectivity, skill development, co-operation against Terrorism, Govt. will seek greater participation in Make in India initiative, smart cities, International solar alliance.

Considering cultural, historical & Geographical connectivity special focus will be on CLMV countries

→ Is there anything new in Act East?

Majority of the scholars feel that there is nothing new in substantial terms it is just a rebranding However, According to C Raja Mohan It is more than re-branding. the speed, scale, & space with which we are engaging was never seen before.

According to Rajiv Bhatia, a former diplomat there are five new features:

(i) Tangible Actions, concrete results

(ii) Geographical space has expanded from Mangolia to the pacific islands like Fiji.

(iii) Focus from South East Asia to North East Asia considering china's rise.

(iv) Earlier expressions were not as bold in defence security & strategic terms.

(v) India is more confident in protecting its rights in RCEP

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→ Initiatives taken by Modi Govt.

(i) Upgraded strategic partnership with like minded countries.

(ii) Initiated Forum of India Pacific Island Co-operation

(iii) Adopted India-ASEAN plan of action for 2016-20 India will be participating in all the 3 pillars of ASEAN community.

(iv) Invited countries to participate in International Solar alliance & Make in India initiative. Present Govt is trying to complete India led connectivity projects at a much higher speed. Govt is giving lot of focus on physical connectivity as well as digital connectivity.

(v) PM is also giving renewed attention towards the domestic dimension. PM has coined a new term for North East ie. NEZ (North east to become National Economic Zone). He visited Assam, Nagaland, Manipur & Tripura.

(vi) However, considering the security environment in North East there are many obstacles in realisation to the vision of Look East Trough North East.

(vii) India ASEAN FTA in services have been given effect since 2015.

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- Conclusion:-

It is achievement of India's Look East that today India is present in all Economic & security architectures emerging in Asia-Pacific region.

- Short Note - Mekong Ganga Cooperation (MGC)

The focus of Look East Policy has been to take the advantage of Geographical proximity, Historical & cultural linkages with CLMV countries.
MGC is not just an economic initiative it is also a strategic initiative. It aims to recover its lost ground in the natural sphere of India's domination. India has lost ground to china. China has much earlier established a platform known as greater Mekong region. In MGC, India & Thailand will be working together. The initiative formally was launched at Vientianne, the capital of Laos in the year 2000. Mekong & Ganga are civilisational rivers there huge influence of India in the region. Hence India aims to promote people to people contact. People to people contact will become the vehicle for greater trade & push for connectivity. The 4 pillers of cooperation are-

(i) Tourism
(ii) Culture
(iii) Education
(iv) Transport & Communication.

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MGC initiative was languishing because of the domestic issues in India as well as Political instability in Thailand. MGC has been given new momentum under Act East Policy. A plan of Action has been adopted for 2016-18. Co-operation will be extended to trade in goods, IT, pharmaceuticals, intermediate goods.

India has extended additional $ 1bn lines of credit to CLMV countries. India has already given $1 bn Govt. will be going for earliest completion of India myanmar, Thailand Trilateral highway. It will start in Moreh in Manipur & Bagan in Myanmar reaching to Mae Sot in Thailand. K

- kaladan multi-modal transport project. (Make a map).

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Naland university is another illustration of reviving old linkages.

Asia Pacific Economic Co-operation (APEC)

APEC is an example of open regionalism. It means minimum institutionalisation & country's take up voluntary pledged according to their capacity.

APEC was established in 1989. It comprise of 21 member economies from Japan to Peru. All major Asian economies except India is part of APEC. It is the only platform where people's Republic of China & Taiwan both are represented that is why it uses the term member economies rather than member states.

Purpose -

Formulate such rules which can create a free trade area in Asia Pacific. The idea is to facilitate seamless trade & investment. It also promotes technical co-operation, business facilitation & capacity building. The idea is -

(i) to remove impediments to trade at border.
(ii) To promote supply chain across border.
(iii) To improve business environment beyond border.

It also has business advisory council which includes private sector

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(iv) Members take non-binding commitments.
(v) Decisions are taken by consensus.

Though it is a open regionalism yet countries have adopted Bogor goals in 2014 for liberalisation.

APEC represent population of 2.8 bn, 47% of Globa trade. & 60% of Global GDP.

- India & APEC

Membership in APEC has been one of the objective of Look East Policy. India is looking outward to capture bigger markets. Increase its competitiveness & strengthen its economic ties.

Modi Govt's agenda of faster Economic growth, integration with value chains cannot be fullfilled without India's full integration with Global Economic APEC is not only important for India, India is also important for APEC. India is a 3rd Largest Economy in terms of PPP. India offers cheap labour, huge market & scope for investment with better returns.

The chances of India's entry in APEC has become better Because-

(i) APEC's moratorium on expansion has ended.
(ii) Present govt is taking many steps to create better business environment.
(iii) Implementation of GST is a good signal. India is engaging constructively on Bilateral investment treaties.

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(iv) Govt is persuing vigorous diplomat efforts with prominent countries of APEC like canada, Australia, New Zealand, Japan, South Korea.

NAFTA

NAFTA is the 1st & so far most ambitious regional trading agreement. It came into existence in 1994. Initially CUFTA (Canada US FTA) came into existence in 1989. Later on Mexico was included. It is also the 1st trading agreement b/w developed & developing countries. NAFTA represent a combine GDP of around $ 20 tn. Population of 444.1 mn out of which US population is 304.1 mn, Mexico, 106.4 mn & canada 33.3 mn.

→ Features of the Agreement -

(i) Elimination of Tariffs.
(ii) MFN status
(iii) Members cannot give better deal to the investors from Non-NAFTA countries.
(iv) Govts. have to give preference to NAFTA countries in case of Govt. procurement.

→ Rules of origin.
Significant percentage of the exported item must originate in the importing country. Eg. Mexico supplying manufactured cars to USA. It will give get Tariff benefits only

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when substantial percentage of items have been imported from USA.

NAFTA also includes Dispute settlements, IPR, labour laws.

NAFTA should not be compared with regional Organisations like EU or ASEAN. It is purely a trading block. It does not have any supra-national features.

NAFTA is in controversy because of US president Trump is against Multi-lateral Trade Agreements. However, it is to be noted that NAFTA in reality is bilateral agreement. US has agreements with Mexico & canada seperately. Present President of US is extremely critical of Mexico as well as canada for following unfair trade practices. He aims to renegotiate NAFTA treaty.

- America's grievances against Mexico.

(i) Mexico has taken up most of the jobs in USA's manufacturing sector.

(ii) Mexico govt's Maquiladora policy has resulted into the shifting of USA's manufacturing industries to Mexico.

(iii) Mexico govt's policies have also resulted into loosering of wages in USA.

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- America's grievances against canada :-

(i) There are grievances against canada's protectionist policy in Dairy sector.

(ii) Grievances against export of softwood from canada to USA.

It is difficult to say how much adverse impact has been on USA's economy. So far NAFTA has been a win-win situation for all. Mexico's economic situation is improved a lot. USA has also benefited because of rules of origin under NAFTA. US consumers benefit from the cheaper Mexican export specially groceries. Oil import from Mexico & canada has kept oil prices in USA low & provided hedge against uncertainties of the middle east. It increases competitiveness of all the 3. Together they can compete china & EU in a much better way.

→ Why Trump administration is against NAFTA?

It seems the real determinant was domestic politics. Opposition to NAFTA in relations could get Trump the support of working & lower middle classes who have lost the job. It also consolidated position of republicans in states like california which had suffered more because of relocation of business. Trump has been more critical to Mexico. He not only suggest to create tariff wall but also concrete wall & suggest Mexico to pay for the wall.

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According to Trump, Criminals, Rapists are coming from Mexico. It is to be noted that one million people cross everyday.

However, it seems that there is no real threat to NAFTA as USA's benefits are more. USA cannot overlook increasing presence of china in Mexico & other countries of Latin America. Today Mexico is in a better position to negotiate. No advantage of raising tariff wall. As far as wall is considered it is not practically possible considering ecological & topographical point of view

SAARC

Regional organisation of south Asian countries came into existence in 1985. Brain child of Bangladesh President Zia ur Rehman.

→ Why he proposed SAARC?

Till Afghanistan was not inducted in SAARC, none of the South Asian countries were linked to each other territorially. though Maldives & Sri Lanka have maritime boundary. Since mid-70s India's relations with all neighbours deteriorated. India was considered as Bullying Big Brother. Hence to challenge India's regional Hegemony Zia ur Rehman proposed platform where smaller neighbours can come together to balance India.

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considering asymmetry in power, it was not advisable to negotiate with India in a bilateral framework.

→ SAARC objectives:-

Peace & Prosperity in South Asia.

→ SAARC Principles-

(i) Non-interference in domestic affairs.

(ii) SAARC will not be used to discuss bilateral disputes or conflictual matters

(iii) Each country will have veto power & SAARC decision will be taken by consensus.

→ Assessment of SAARC

South Asia remains least integrated with the exception of middle East. There is no significant achievement of SAARC Even SAARC summit could not be held regularly. Some of the prominent achievement of SAARC can be listed as follows.

(i) SAARC satellite, SAARC Film Festival,
(ii) SAARC Food bank, South Asian University.
(iii) SAARC Milk grid.
(iv) SAARC Developement Fund
(v) South Asian federation games.
(vi) South Asian Preferential Trading Agreement (SAPTA) despite SAPTA there is no increase in intra-regional trade which has become stagnated. Intra-regional

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trade in EU is more than 64%, NAFTA more than 50%, ASEAN more than 26%, Mercosur more than 17%.

→ Why such a low level of intra-regional trade despite SAPTA?

(i) In south Asia more than legal trade, illegal trade takes place. India Pakistan legal trade is around $ 3 bn. In case Pakistan gives free MFN status trade is expected to jump to $ 9 bn within a year.

(ii) SAPTA adopted positive list concept which is itself a restrictive concept. and those items are on the list which are hardly traded.

In 2004 Islamabad summit countries agreed for SAFTA. SAFTA was to be operationalised in 2016 that is why Islamabad summit of 2016 was significant. However, summit has been called of because of India's opposition in context of continuous terrorist attacks on military basis.

(i) SAFTA was more ambitious. SAFTA had sensitive list concept. (-ve list).

(ii) SAFTA included provision for differential treatment to the Least Developed Countries.

(iii) SAFTA has dispute settlement body.

(iv) SAFTA has provision for the compensation of losses to LDCs for a specific time & their capacity building

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SAFTA would have been significant achievement. It is to be noted that South Asia comprise a market of 1.6 bn people. 60% and more are below 30 yrs of age. South Asia is a largest homes for poors, malnourished face challenges like ecological disasters, extremism, terrorism. Countries cannot face this challenges without economic integration. If countries are able to channelise youth in correct direction by creating employment opportunities South Asia will become more vulnerable to radicalism & extremism.

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→ Causes of Failure.

(i) Rivalry b/w India & Pakistan two largest states representing 80% of land, 85% of population & 90% of GDP.

(ii) countries in the region have been protectionists.

(iii) Role of External factors in keeping south Asia devided.

(iv) Assymmetry in size b/w India & other neighbours.

(v) Pending disputes like land boundary, water dispute, ethnic conflicts.

(vi) In ASEAN & EU USA has acted as a push factor, there has been no push factor in case of SAARC

(vii) In South Asia politics overwhelms economics.

(viii) In south Asia domestic politics shapes foreign policy.

(ix) Presence of china in south Asia reduces the dependency.

(x) lack of Political will

(xi) South Asian states are new their nationalism is not consolidated hence it is not easy for them to compromise sovereignty for the sake of supra nationalism.

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(xii) once SAARC becomes a reality a borderless region it will offset the logic of ~~partition~~ partition.

(xiii) In south Asia, nobody wants S. Asian identity, Pak. seeks West Asian identity, Sri Lanka seeks South East Asian identity.

- Future prospects of SAARC-

(i) the present govt. of India is not interested in SAARC as they do not see the possibility of change in the obstructionist attitude of Pakistan. Pakistan has not given MFN status to India uptill now. India Pakistan relations are all time low. Present Govt. is going for sub-regional initiatives. PM has proposed to speed SAARC.

(ii) In Kathmandu summit in 2014 Pakistan used veto on the proposed Motor Vehicle Agreement by India. Hence India has entered into the Motor Vehicle Agreement with Bangladesh, Nepal, Bhutan. This has resulted into creation of BBIN platform. BBIN platform is important for developing connectivity for all the 4 countries. However at present Bhutan's parliament has not ratified the agreement under the pressure of Bhutan Taxi Drivers. Bhutan has given ecological reasons. lack of infrastructure capacity & the possibility of accidents. Elections are due in Bhutan in 2018. may be the new govt's approach will be in favour.

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BIMSTEC

BIMSTEC was first established as bist in 1997. original members were Bangladesh, India, Sri Lanka, Thailand. Towards the end of 1997 Myanmar also joined. In the year 2004 Nepal & Bhutan joined & since then organisation is known as BIMSTEC

→ significance -

Organisation has strategic & huge economic relevance.

(i) It can be considered as SAARC minus Pakistan. Negating pakistan & bringing like minded country thailand in place of Pakistan.

(ii) BIMSTEC is a ~~breach~~ bridge b/w south Asia & South East Asia.

(iii) The focus of BIMSTEC has been quite similar to that of Mekong Ganga promoting people to people contact, connectivity, trade & investment.

BIMSTEC as an organisation was languishing as the two leading countries were engaged elsewhere thailand suffering from domestic instability & India also suffering from domestic challenges. only in 2014 Manmohan singh Govt. took steps to revitalise the plat-form. & the secretariat got established in Dhaka & proposal for FTA have been made.

Present govt. is seriously persuing BIMSTEC as a pragmatic alternative to SAARC. BIMSTEC countries were

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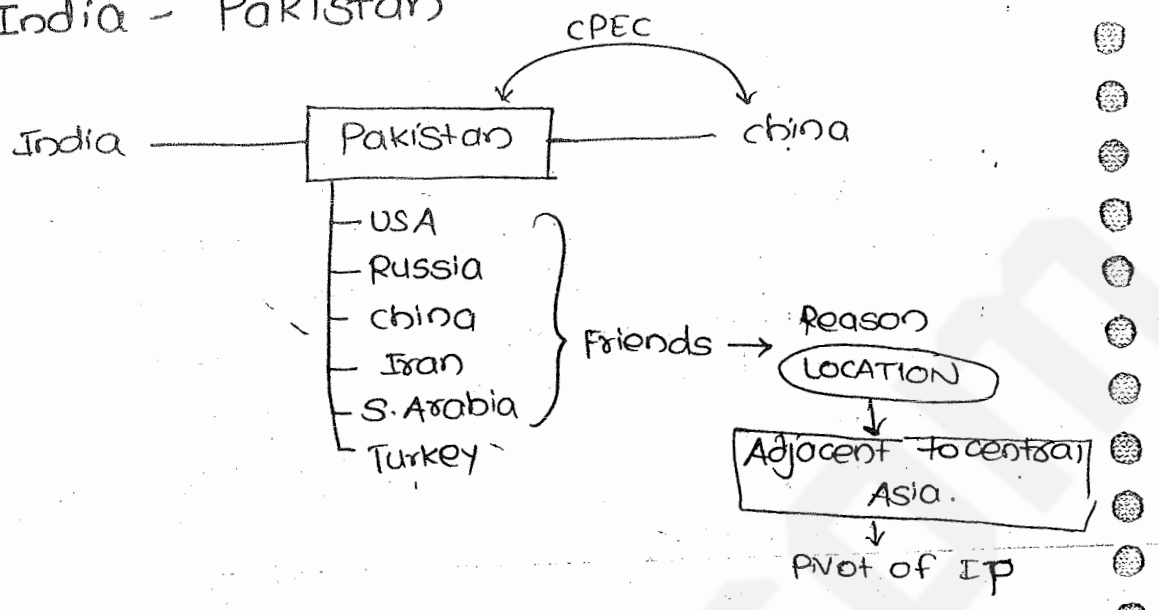
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invited on the sidelines of BRICS summit in 2014. 14 priority areas including counter terrorism, climate change, disaster management, energy co-operation have been outlined. As SAPTA failed to come into existence, BIMSTEC FTA can be a win-win situation. BIMSTEC economies are growing at an average growth of 6.9% whereas world economy is growing at the rate of 3.1%. Indian economy is growing at more than 7%, Myanmar's economy is growing at the rate of 8.1%, region represent the GDP of $ 3 tn & a population of 1.5 1.8* bn. Countries are also going for Blue Economy & entering into VISA liberalisation like ~~Asia~~ ~~Asean~~ Schengen

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India - Pakistan



According to Stephen P. Rohen, book - 'shooting for a century' India Pakistan do not have normal relations He calls India Pakistan conflict as 'Paired minority conflict'. He compares India Pakistan conflict with Arab-Jews conflict, Shia-Sunni conflict, Tamil- ~~Sinhe~~ singles conflict. According to him India & Pakistan have reached to mutually hurting ~~do~~ stalemate. The situation is that India cannot loose & Pakistan cannot win. He predicts that it will take another 30 yrs (70+30)* for India & Pakistan to continue shooting against each other before the possibility of normalisation

India's policy towards Pakistan.

Pakistan has been the biggest strategic challenge to India. Every successive govt. to India & specifically PM's taken utmost interest in India's relations with

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Pakistan. It seems every PM wants to have its legacy on India's Pakistan Policy. India's Pakistan policy is often criticised as having lack of consistency, It is believed that India has a posture & not the policy.

For any sound policy, it is necessary to have the clarity of goals & understanding of the country with which we are dealing. Pandit Nehru never considered Pakistan can be a serious challenge. He expected that within few years Pakistan will come back to India as a state pakistan cannot sustain. However, It is wrong if we think Pakistan is a weak state. Even in contemporary India many analysts think that Pakistan is on the verge of collapse. Pakistan is no match to India.

Antony Lieven, in his recent book on Pakistan 'Pakistan a hard country' show that Pakistan as a state has a strong foundation. Pakistan has one of the most professional armed forces, Bureaucracy. Pakistan's economy is vigilant.

Ian Bremmar calls pakistan 'Pivot state'.

Andrew Korbyko has called Pakistan 'the zipper state of Eurasian integration'.

Pakistan is a pivot state because of its location. It is located on the borders of west Asia & central Asia. It also touches south Asia & East Asia.

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Pakistan will never be diplomatically isolated as India thinks. At Present Pakistan has good relations with all powers. Pakistan is controlled by the Army of Pakistan which is known as deep state.

It is always easy for countries like USA & china to deal with Army rather than the civilian govt. Hence, it doesn't seem that Army is going to loose its significance. So long Army is in power there is hardly any hope for India for normalisation of relations.

Pakistan's Army's legitimacy in country's political system is because of projecting India as a threat. It is believed that even when we resolve the kashmir issue relations will not improve for two reasons.

(i) Even kashmir is not just a territory or a source of water. Kashmir is a matter of two mutually exclusive identities. Identity of India as a secular state & Identity of Pakistan justifying seperate homeland for minorities of the subcontinent.

(ii) The attitude of Army of Pakistan. Some scholars often suggest that India should talk with Rawalpindi rather than Islamabad. However, such arguements are based on unrealistic view of Pakistan's army. It is also suggested that it is better for India if Army directly rules the country. It would be possible for India to have direct dialogue at official level.

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However, there is no hope from Army of Pakistan the only hope for India is the civil society in Pakistan. However, India should restrict itself from engaging with Pakistan's civil society or civilian govt.

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→ Foreign policies under subsequent govts.

(1) Indira Gandhi's approach towards neighbours in general & Pakistan in particular is known as India's Munroe Doctrine. I. Gandhi's approach was realist. I. Gandhi opted to intervene in the civil war in Pakistan militarily. which led to the creation of Bangladesh.

→ Assessment :

(i) Bangladesh war was a military victory but diplomatic failure. India didn't get any advantage.

(ii) One of the factors for the revengive attitude of Pakistan Army.

(iii) Pakistan started low intensity warfare.

(iv) Bangladesh came under Poo-pakistan faction as Mujibur Rehman was assassinated & Ziaur Rehman came to power.

(2) Relations under Rajiv Gandhi -

Rajiv Gandhi continued with policies of Indira Gandhi. By this time terrorism in Kashmir valley started creating major challenge. This was the time when US was involved in promoting Mujahiddins in Afghanistan. Hence, terrorism in Kashmir also started getting transnational dimension.

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- Gujral Doctrine -

Gujral as a foreign Minister & later on as a Prime minister had invested lot of energy in improving relations with neighbours including Pakistan. Gujral doctrine aimed at establishing peaceful periphery.

→ Features of Gujral Doctrine -

Panchsheel Principles + 2 additional principles.

(i) India will go for unilateral consensus* (Elder brother & not big brother).

(ii) India will give unilateral concession subject to condition, neighbour should not be allowed their territories to be used for carrying terrorist operations in India.

→ Outcome:

Immidiate impact.

(i) Improvement in relations with all neighbours.

(ii) Mahakali Treaty with Nepal.

(iii) Ganga water sharing agreement with Bangladesh.

(iv) Visa liberalisation with Pakistan for Patients, students.

- Vajpayee Govt.

Vajpayee held that we cannot change our neighbours though we can change our friend. We can change history but we cannot change Geography.

However, Vajpayee govt. took decision to go nuclear.

India-Pak. relations deteriorated.

India's decision legitimised Pakistan's nuclear weapon.

India & Pak. entered into arms race.

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Pakistan got strategic balance against India.

→ India became more vulnerable.

(i) To proxy wars

(ii) Nuclear black mailing by Pakistan.

(iii) Pakistan's Nuclear doctrine (unofficial) suggest that Pakistan can use Nuclear weapon even in case of conventional wars. It does not adhere to no first use

In order to examine the credibility of India's claims Pakistan went for Misadventure in Kargil.

Ultimately international community pushed India & Pakistan to go for -

(i) Nuclear confidence building measures (CBM).

(ii) India & Pakistan had entered into ceasefire Agreement on LoC, in 2003.

Pakistan is continuously violating this ceasefire agreement.

Note: After Nuclear test environment in south asia became too dangerous. Hence under the pressure of International community Vajpayee had gone for bus diplomacy. resulting into Lahore Declaration.

By this time India & Pakistan also got engaged into proxy war in Afghanistan.

Since the end of cold war India's foreign policy in neighbour is too much influenced by USA.

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- Manmohan Doctrine -

Manmohan Singh govt. also aimed at normalisation of relations. There was significant relations improvement in relations. Main theme of M doctrine was economy diplomacy.

Manmohan Singh govt. was working on following lines

(i) Promotion of trade
(ii) People to people contact.
(iii) Informal Manmohan Singh - Musharraf formula on kashmir
→ De-militarisation of public spaces in kashmir.
→ Making loc a soft border.

Govt. was also close to the ressolution of Sir Creek issue & Siachin issue

However since 2011, relations started deteriorating. violence (cease-fire) became prominent. As there was a pressure on Pakistan after Mumbai terror attack.

In India it was realised that India becomes more vulnerable if govt. takes a step for talk. Either it results into violence at LoC or terrorist attack.

- Modi's Policies.

Modi as announced neighbourhood 1st policy, invited all SAARC leaders. However, neighbourhood 1st policy in context of Pakistan is not working rather it will not work considering the vested interest.

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However, after continuous attacks, unrest in valley & violation of ceasefire agreement. Modi govt. has changed the track.

→ Present Approach -

- Diplomatically isolating Pakistan.
- Making terrorism as the main issue as According to the govt. Terror & Talk cannot go together.
- Considering military options minister of ~~State~~ Defence, Parrikar ~~for~~ ~~Defence~~ affairs informally suggested. that India ~~has~~ should revise no first use.
- National security advisor informally mentioned offensive defence.

According to C Raja Mohan, Modi govt. wants to rise the stakes of Pakistan in the conflict.

Modi has used 3 cards:

(i) Baluchistan
(ii) Gilgit Baltistan
(iii) Indus water treaty.

→ What is the idea?

(i) speak in the language which Pakistan understand.
(ii) Strike where it hurts the more.

→ Baluchistan Issue.

Largest of all Pakistan provinces. Baluchistan was forceably integrated in Pakistan. Most backward region despite being rich in natural resources. Pakistan is also not a natural nation. Pakistan is devided into different ethnic community. Pakistani military & Bureaucracy is dominated by Punjabis.

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∴ 2nd dominant section is Sindhi's. Baloch community have been exploited. All advantages go to the dominant section. Pakistani govt. does not trust Baloch. Balochistan is also strategically located in context of Arabean sea & adjacent to Iran. A part of Balochistan is also a Iran. Since, 2006 when prominent Baloch leader Akbar Bugti was killed there have been the regular wars b/w Baloch & Army of Pakistan. Pakistani Army has committed Human Rights violations. Extra-judicial killings. Hence, Balochistan is important in India's game plan. Balochistan is also a place where Pakistan have provided safe heavens to Taliban at Quetta the centre for Haqqani Network. Haqqani Network is called as veritable Arm of ~~Taliban~~. ISI.

→ Why India is using Baloch card?

The use of Baloch card is not new. Previously no. of occassions Pakistan has accused India of promoting insurgency in Balochistan. For the 1st time India accepted Terrorism in Balochistan as a matter of talk b/w India & Pakistan at NAM summit as Sharm-al-Sheikh. Under Modi govt. India has raised Human rights violation. Informally National security advisor held that another Mumbai attack & Pakistan will loose Baluchistan.

Why Baluchistan has become imp. for India?

(i) In context of OBOR → CPEC corridor.
It is very important for India to provoke & promote insurgency.

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Gilgit Baltistan Issue-

Gilgit Baltistan is a part of Indian state of Jammu & Kashmir. Considering the strategic location Britishers had taken it on lease from Maharaja of Kashmir. At the time of independence British officers raised Pakistan flag. However, since then Pakistan considered it as its part. The ethnic composition in the region is different from valley as well as the regions in Pakistan. People are followers of shia religion & have greater linkages with Tribes in Central Asia. Gilgit Baltistan has no constitutional (Vague) status in Pakistan. Pakistan has exploited the region but has denied any benefits. After popular protest Pakistan has established Northern Area Legislative Council. However in 2009 it has renamed the institution as Gilgit Baltistan. and has made legislative council into legislative assembly. locals do not have any rights. Non-locals Panjabis & Pashtuns have been the ruling elites.

Indian PM has also raised Baltistan issue.

After India raising Human Rights issue pakistan govt started considering to make Gilgit Baltistan as 5th province. Pakistani Govt's decision has been opposed not only by Govt of India but also seperatists in Kashmir.

Why?

they feel that if Pakistan will declare Gilgit Baltistan as a state, it will become easier for the ruling party in India to end Article 370 & to end the temporary status of Kashmir.

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Indus Water Treaty -

According to Brahma Chellany. Indus water treaty is perhaps the only water agreement where the greater share is for the lower riperian state & lower riperian state enjoys veto power. As per the treaty Pakistan will get the water of 3 western rivers ie. Jhelum, Chenab & Indus & India will get the water of 3 eastern rivers ie. Ravi, Beas, Sutlej. However, the total water of Indus system in western rivers is four times more. 80% of water is in western rivers & 20% in eastern rivers. As upper riperian state India has right to use the water of western rivers for non-consumptive purposes.

→ veto power of Pakistan-

India can carry with the projects only with the consent of Pakistan.

→ What if Pakistan objects?

(i) Treaty establishes permanent Indus water commission to resolve the matter.

(ii) If matter cannot be resolved at the level of commission countries can go for mediation by neutral experts.

(iii) If matter is not resolved then countries can go for arbitration.

→ Importance of water for Pakistan.

It is vital for Pakistan's irrigation. More than 80% of Pakistan's irrigation depends on the water it receives. Pakistan has one of the largest canal system in world.

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Pakistan already suffers from water scarcity.

→ What is the approach of Modi Govt?

Review the Treaty. India should start using its rights w.r.t. water of western rivers which we have been not able to do so because of Pakistan's objection.

According to Spokesman of MEA, Blood & Water cannot flow together. Previously, Hafeej Saeed has made Indus Water Treaty as an issue and held that water will not flow blood will flow.

Pakistan has warned that if availability of water decreases it is free to use nuclear weapon.

→ should India use Indus water treaty as card?

→ (1) Those who are against give following reasons –

(i) Pakistan as a rogue state may use nuclear weapon

(ii) India should not loose Moral highground.

(iii) It may be difficult for India to push china for treaty on Brahmaputra.

(iv) India will not appear as a responsible player.

→ (2) Arguements in Favour

(i) this is the most effective card available.

(ii) Legally speaking India is not violating the treaty because Treaty is b/w India & Pakistan. China has already built a dam on Indus water near Demchok near ladakh.

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treaty looses the relevance.

(iii) India can suspend the meetings of Indus water commission till Pakistan will not co-operate. If India suspends the meetings Pakistan cannot utilise the other two options.

→ Views of Experts on India's policy towards Pakistan:

(1) Scholars like Brahma chellany, Harsh Pant, C Raja Mohan suggest to raise the stakes & hit where it hurts the most. However, they are disappointed. Because of inconsistency. that is why present Govt. is criticised for taking postures rather than real action. On the other hand Analysts like Suhasini Haider, Pratap Bhanu Mehta, are against taking the approach of tit for tat. According to Suhasini Haider, in the game of chess the strategy to follow the opponent to frustate his design. is not always a winning strategy.

(ii) Former National Security Adviser, M K Narayanan
- India has to act with restrain
- India should not spoil its image as a mature country.
- India cannot be afford to be a like a rogue state.
- there is a need for caution as world is more interconnected today.
- Pakistan is a basket case like North Korea.
- We cannot choose our neighbours.
- considering china factor Pakistan is not isolated.
- India has got international sympathy after India acted with restrain in 2008.
- Instead of using Baluchistan card, India should go for cyber warefare.

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(iii) Pratap Bhanu Mehta-

PM can choose any action but must understand that it is a game of 'many moves'. Considering Pakistan is not a Normal state strategic restrain is not defeatism. The restrain is also a deterrence because we are not giving opportunity to Pakistan what Pakistan wants.

(iv) C Raja Mohan:

Present Govt. is willing to take the risk. Govt. is raising the stakes of Pakistan. Govt has discarded the notion of engaging with the Civilian Govt.
Govt. has abandoned two track approach.
Govt is looking for how to manage the challenge prone by Pakistan's military by operational readiness of Military & counter terrorism units.

(v) Happymon Jacob:

India needs to be more nuance & guide military option is difficult to resist because of popular pressure & desire for quick returns. There is a possibility that Indian army will win the war of attrition as well as India can survive of the nuclear attack. Yet the cost is not worth. It is not rational if we take the risk of nuclear exchange in response to a terror strike. It does not mean that India should not be doing anything. India should be taking a grand picture. Quick fix solutions will end up in early dog fight.

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Engaging Hydra Headed Pakistan needs creative statecraft outside the roode of traditional diplomacy. He also suggest that India needs to take up adequate security steps. India also needs to adress the alienation of people in kashmir.

(vi) Shashi Tharur.

In his Book 'Pax India' he suggest following options:

- India does not have leaverage bilaterally.
- Go for back channel diplomacy. (Pressure through other countries)
- Strengthen the stakes of International community in India's economy.
- Use India's grooing weight at International financial institutions.
- Earliest Conclusion of Comprehensive Convention aggainst International Terrorism.
- Last but not least. Pakistan can kill our people but Pakistan cannot kill our spirit. If we maintain the communal harmony it will be the biggest challenge because India Pakistan conflict is a conflict of Identity.

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Siachin Issue-

According to ~~the~~ stephen P. cohen, fight for siachin b/w India & Pakistan is like two bald persons fighting for comb. Both countries spend more than 3 cr. per day for maintaining armed forces. Both countries have lost more no. of soldiers because of inhuman conditions. However it is wrong to say that siachin does not have significance.

(i) strategic location in context of china Pakistan access.

(ii) source of water.

→ What is the issue?

LOC is not demarcated beyond the point in the region known as NJ9842 because of terrain (Shimla Agreement).

→ Pakistan's Point of view

LOC moves horizontally then siachin will be on Pakistan's side.

According to India, line moves perpendicular in the North.

→ What is the present status ?

Siachin was a no man land. However, Govt. of India came to know that Pakistan is issuing visa's for mountaineering. In 1984 India conducted operation Meghdoot occupied strategic heights' Eg. ie. Saltoro ridge. Pakistan's forces are lower side of it.

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Siachin was one of the issue in composite dialogue. It was considered as double issue. Manmohan singh wanted that siachen becomes a Mountain of peace. There was strong opposition from Indian Army. Pakistan was demanding demilitarisation.

According to India Army, in case pakistan occupies the strategic heights it will not be possible to get back.

→ India's Position-

India favours demilitarisation but 1st boundaries to be demarcated, delineated, authenticated.

According to Indian Army it is also necessary to include the provision for penalty in case pakistan violates.

→ Pakistan's Position

1st demilitarise & then demarcate & then authenticate

According to Pakistan, presently India is in a dominating position & Hence, any agreement will be under force.

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Lecture 30
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Sir Creek Issue -

It is a 96 km long water body for estuary in Arabian sea. India Pakistan maritime boundary is not settled because of conflicting claims.

What are the impacts?

(i) None of the country is able to utilise ocean wealth.

(ii) Fishermen get caught by the authorities for ~~trace tress tress~~ tress - passing & hence humanitarian issue.

What is the urgency to solve?

As per UNCLOS all water disputes should be resolved by 2009 after which UN can declare any such body as international & both the countries will be the loosers. Sir creek was one of the issue in composite dialogue. It was considered as doable issue.

What is the dispute?

Goes back to British time. There was dispute b/w the state of Sind & state of Kutchcha. 1914 Map - to resolve the dispute 1914 map was produced. Pakistan supports the map. As per 1914 map sir creek comes under Pakistan's territory ie. sind's territory. However 1914 map is contested because it has two contradictory provisions. First is paragraph 9 - According to Paragraph 9 boundary lies east of the creek. This line is known as Green line.

Second is Paragraph 10 - water body to be devided from the middle as per Thalweg principles.

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→ 1925 Map - Another map was produced which devides the water body from the middle. The line is known as Red line. India supports 1925 Map.

→ What is Pakistan's Perspective?

Pakistan does not support India's arguements (Thalweg Principle). According to Pakistan, Thalweg Principle applies for Navigable water & it is a marshy land.

→ What is India's Perspective?

Thalweg Principle can apply because it becomes Navigable during high tides & fish trawlers go through the creek.

However, India's arguements are stronger because states of Sind & Kutchchia have constructed pillars along the mid-channel.

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India - Afghanistan Relations -

→ Importance of Afghanistan for India -

(i) Geo strategic

Extreme importance for India's security. Historically all invasions from the North have been through Khyber Pass. India & Afghanistan formed an integrated strategic space. ie. why it said that India should safeguard Afghanistan's security in the similar way it has to safeguard the security of its border.

→ Reasons →

(i) Bordering Pakistan -

In case there is a war b/w India & Pakistan and friendly govts. exists in Afghanistan & central Asia we can open a second front to put pressure on Pakistan. ie. why Pakistan is particular that India should not have access to ~~Ag~~ Afghanistan & central Asia. Pakistan is not comfortable with India's presence. Indians & Indian investments, consulates have been the targets of Pakistan supported terrorist organisation (Haqqani Network).

(ii) Afghanistan can become the safe heaven for terrorists conducting Anti-India activity.

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(2) Geo Economic -

(i) It is known as the transit hub.

(ii) Huge oil & Mineral wealth ie. copper, iron, Uthium. (used in batteries).

● Overview of India's Policy towards Afghanistan-

→ Importance of Afghanistan in International Politics-

Afghanistan & central Asia are considered as pivot to International Politics. Location of Great Games a term coined by Rudyard Kipling. In context of the British & Russian conflict.

Afghanistan is important as it is surrounded by major power. ie. China, Pakistan, Iran, Russia and India. The region has always attracted the interest of USA. Turkey is another player is the Great Game. It is for this reason Afghanistan has always suffered proxy wars. Histo

→ History of Afghanistan since the end of 2nd W.W.

Phase (1) Afghanistan under the influence of USSR. USSR was success-ful in establishing communist govt. despite being islamic dominated country. India has close relations with the communist govt. In order to weaken USSR, USA & Pakistan promoted Mujahiddins (Islamic fighters) against communi- govt.

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USA & Pakistan were successful in getting mujahiddin's, success in establishing their rule.

Phase ② Since Afghanistan is of strategic significance to India no govt. can overlook. Despite knowing that mujahiddin's have been supported by Pakistan. Govt. of India was successful in establishing its relations with mujahiddin Govt. (Burhan-ud-din-Rabbani- President).

→ Why Mujahiddin's established relations with India?

(i) Internal factions among Tribal chiefs for power

(ii) Pakistan wanted to retain the control over Mujahiddin's.

→ Why pakistan wants to retain the control?

Pakistan wants to gain strategic depth in Afghanistan.

→ What is strategic depth?

Whosoever is ruling should be controlled by Pakistan.

Why? → Durand Line.

Durand line devides pashtuns & Pashtuns want a seperate state of theirs. In case if India is present in Afghanistan. There is a fear of Pakistan loosing its territory.

Rise of Taliban -

Taliban ↓ Students

Taliban is a student movement. They were children of Afghan re-fugees who took shelter in Pakistan because of civil war.

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Pakistan indoctrinated them in Wahabism. An orthodox Sunni Muslim sect. It is known as puritanical movement they are against non-believers as well as other Islamic sects like Shia's, Ahmedia's & Sufism.

→ 2nd phase of Civil War.

War started b/w the Mujahiddins & Taliban insurgents. Because of the support of Pakistan they have been successful. ~~Tal~~ in fight against Mujahiddin. Taliban controlled south & central Afghanistan & Pushtoo Mujahiddin's in the north.

→ What was India's approach towards Taliban?

Taliban was not recognised by International community as a legitimate govt. only 3 countries recognised. ie. Pakistan, Saudi Arabia, UAE. Govt. of India also did not recognised & kept relations with Rabbani govt.

→ Was it a strategic mistake for India?

India should have recognised. It was a strategic budder & India had to pay the price ie. Hijacking of Air India Aircraft ie. IC-814 ie from ~~Kandahar and~~ Kathmandu to Kandahar.

IC-814

● US War against Afghanistan, 2001.

(i) Taliban gave shelter to Osama Bin Laden.

(ii) According to the scholars Osama Bin Laden is not the main cause. The more important cause is to control Narco trade / opium trade.

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Opium trade has been the main source for funding terrorism. USA has always used non-state actors as an instrument of foreign policy. USA never wants to end, it only wants to control or manage the opium trade.
India also participated in US led war against terrorism USA India had established a Military Hospital in Tajikistan, Fakhroor.
India, Iran, Russia, USA supported 'Northern alliance.' USA was successful in defeating Taliban within 3 months.

→ Bonn Conference, Dec. 2001
The process for the formulation of the constitution & reconstruction of Afghanistan started.

– India's Role -
USA had restricted India to the use of soft power.
Why? → Pakistan was not compatible with India's role even as peace keeper.
India emerged as the leading donor in Asia. India has given $2 bn. as an aid and has recently promised $1 bn.

→ India's major works -
(i) Building of Parliament
(ii) Habiba Girls High School
(iii) Indira Gandhi children Hospital.
(iv) Protein Biscuits
(v) Transmission line (Electricity)
(vi) Salma Dam → Friendship Dam.
(vii) Zaranj – Delaram Highway → connected to chabahar port

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→ Current Scenario -

In International Politics there are no permanent friends & enemy. Situations change very fast. In current situation Taliban has emerged as a major force. It is expected that Taliban could be able to re-establish its hold.

At Present Russia, china are diplomatically supporting Taliban. They are working to end UN sanctions against some key figures. Russia is also accused of providing Arms, Ammunition & intelligence to Taliban.

Why?

Russia wants to keep US engaged in Afghanistan so that US is enable to focus on Syria.

China, Iran, Pakistan, Russia are trying to engage Taliban.

USA's goals in Afghanistan - Remained unclear.

At present India is isolated in Afghanistan. The only friend India has is the Govt of Afghanistan.

→ India's Policy since 2011.

India has entered into strategic Partnership with Afghanistan even against the wish of USA. USA was pressurising India not to sign.

→ Why India changed?

- 2010 London conference - India was isolated & international community accepted Pakistan's proposal of reconciliation with good Taliban. Even

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Afghanistan govt objected to this.

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